As part of the Current Population Survey, the US Census Bureau conducts an annual Displaced Worker Supplement (DWS) in which workers who have lost their job in the last three years are asked additional questions about their unemployment experiences and (if re-employed) their re-employment conditions. As reported in the survey documentation, "the universe for the Displaced Workers Supplement is civilians 20 or older. Respondents are further categorized as a 'displaced worker' if they had lost or left a job due to layoffs or shutdowns within the past 3 years, were not self-employed, and did not expect to be recalled to work within the next six months."

We utilize the information reported on an individual's weekly wage at their lost job, wage at their new job, and the time spent unemployed to derive a measure of duration-dependent reservation wage adjustment. More precisely, we regress the ratio of the survey respondent's wage at their post-displacement job to the wage at their lost job on unemployment duration and various control variables in a cross-sectional setting. We compare the model fit across linear, quadratic, and cubic specifications, with and without various combinations of control variables (whether or not an individual received unemployment compensation, age, race, sex, marital status, education, previous wage level).

Wages are reported in hourly and weekly values but this reporting is inconsistent across observations. In other words, though most individuals (4,600 respondents of the full sample of 6,198) report their wage in both units, 270 report only hourly and 1328 report only weekly. To be able to combine information on all workers to one value, we select the present statistic for those missing one and retain either the minimum, maximum, or mean of the hourly versus weekly wage for those reporting both. We display box plots of these wage ratios across unemployment duration bins for the different methods of reconciling the missing data in the figures below.

Below, we outline the data cleaning procedure, provide descriptive figures and statistics, outline the econometric estimation strategy, provide regression results using the raw sample and reweighted samples addressing selection issues and non-uniformity, describe the integration into the agent-based model, and describe inherent limitations in the dataset. First, regarding data cleaning, we make use of the survey responses recorded between 2000-2025. We trim the sample for possible outliers or measurement error by excluding any reported unemployment durations greater than 96 weeks (~24 months) and any reported accepted wage ratios within [0.5, 2], though we display the full sample in the descriptive figures below, denoting where the full versus clipped sample is used. All analysis below uses Displaced Worker Sample Weights to ensure appropriate weighting of survey responses and reduce any influence of selection bias.

Next, regarding selection issues and non-uniformity, the sample is non-uniform in unemployment duration (fewer observations are observed for higher values of unemployment duration). We employ three methods of reweighting to address these selection issues (Heckman Selection correction, entropy-balancing, and propensity score matching) to test the robustness of our econometric results using the trimmed sample. These re-weighting and sample balancing methods confirm the directionality of the regression results in the non-uniform sample, providing greater confidence in the triangulated reservation wage adjustment rate.

Overall, we find that individuals accept a ~1-percentage point decrease in the wage ratio per additional month of unemployment. Variations using model reweighting, different samples, combinations of control variables, reported hourly and weekly wage ratios do not appear to affect the results. However, the data indicates a potential non-linear relationship (we see little satisficing until around ~12 months of unemployment) after which the wage ratio begins to decrease. Individuals seem to accept a below-1 relative wage ratio (current wage:wage at lost job) following a year of unemployment.

Descriptives

Duration Distributions

First, we provide some visualizations of the raw data. The figure below displays the distribution of continuous (red) and binned (blue) unemployment durations reported in the survey. The distribution is, as expected, heavily skewed, with more individuals concentrated at low unemployment durations. The continuous values in the red histogram are the values later employed as the explanatory variable in the cross-sectional

regressions used to triangulate the reservation wage adjustment schedule employed in the agent-based model.

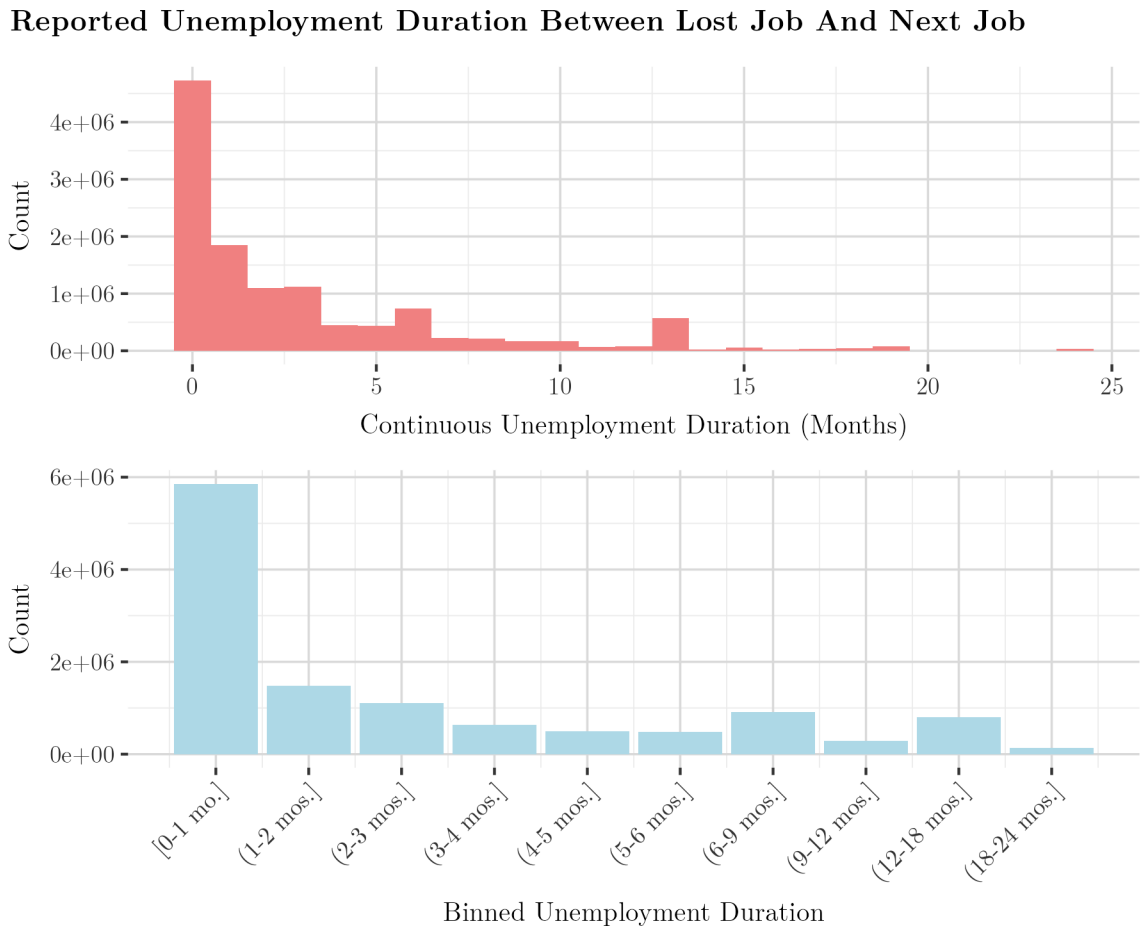


Figure 1: Distribution of time between job loss and re-employment among displaced workers, weighted by Displaced Worker Supplement sample weights. The upper panel shows the raw continuous distribution in months; the lower panel groups responses into variable-width bins reflecting the diminishing sample density at higher durations (monthly bins for 6 months, quarterly for 6–12 months, half-yearly thereafter). The distribution is right-skewed, with most displaced workers re-employed within six months.

Wage Ratios

Next, looking at the reported wage ratios in weekly and hourly values (without reconciling the missing data), the mean is fixed near 1 until >12 months of unemployment in hourly wage reporting. In weekly wage reporting, the "satisficing" seems to start earlier in unemployment duration, indicating that the relationship is potentially negative and non-linear.

Given the inconsistent reporting of hourly and weekly wages (i.e., when either weekly or hourly wage is reported but not both), we compare a few options for reconciling missing data across survey responses. Notably, reconciling the reported data by taking the minimum (top panel) or mean (bottom right panel) across reported wage values for those individuals that report both do not lead to visually meaningful differences in the distribution. However, reconciling with the max (bottom left panel) value leads to slightly less evident declines in accepted wage ratios than in the other two cases. In the following sections, we proceed with the method that reconciles multiple reported values using the minimum value of the wage ratio.

Next, we fit a linear and spline fit to the scatter plot of the wage ratio to unemployment duration before

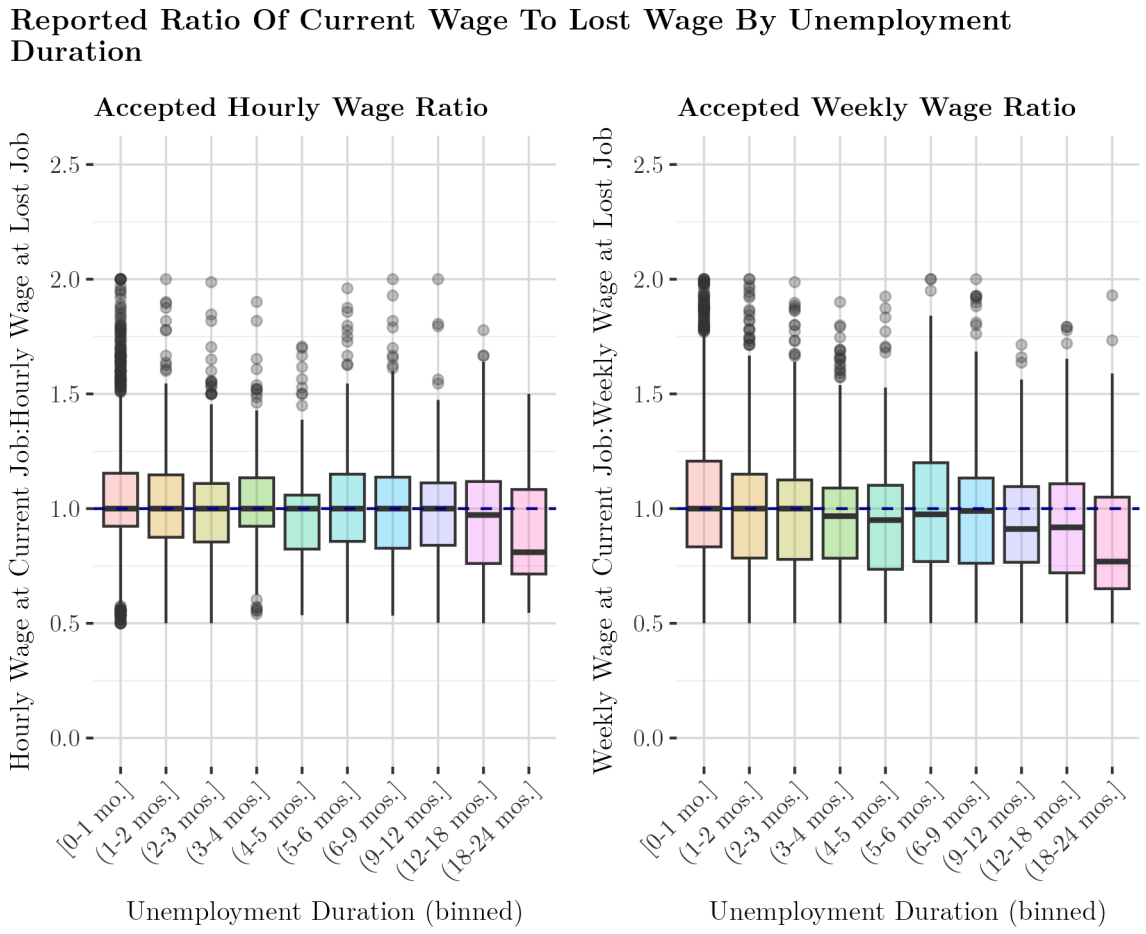


Figure 2: Box plots of the accepted re-employment wage ratio (current:lost job wage) by binned unemployment duration, shown separately for hourly (left) and weekly (right) wages. The dashed blue line marks a wage ratio of one. The median wage ratio remains near one for the first twelve months of unemployment before declining; the decline appears slightly earlier in weekly wage reporting. All observations are weighted by Displaced Worker Supplement sample weights.

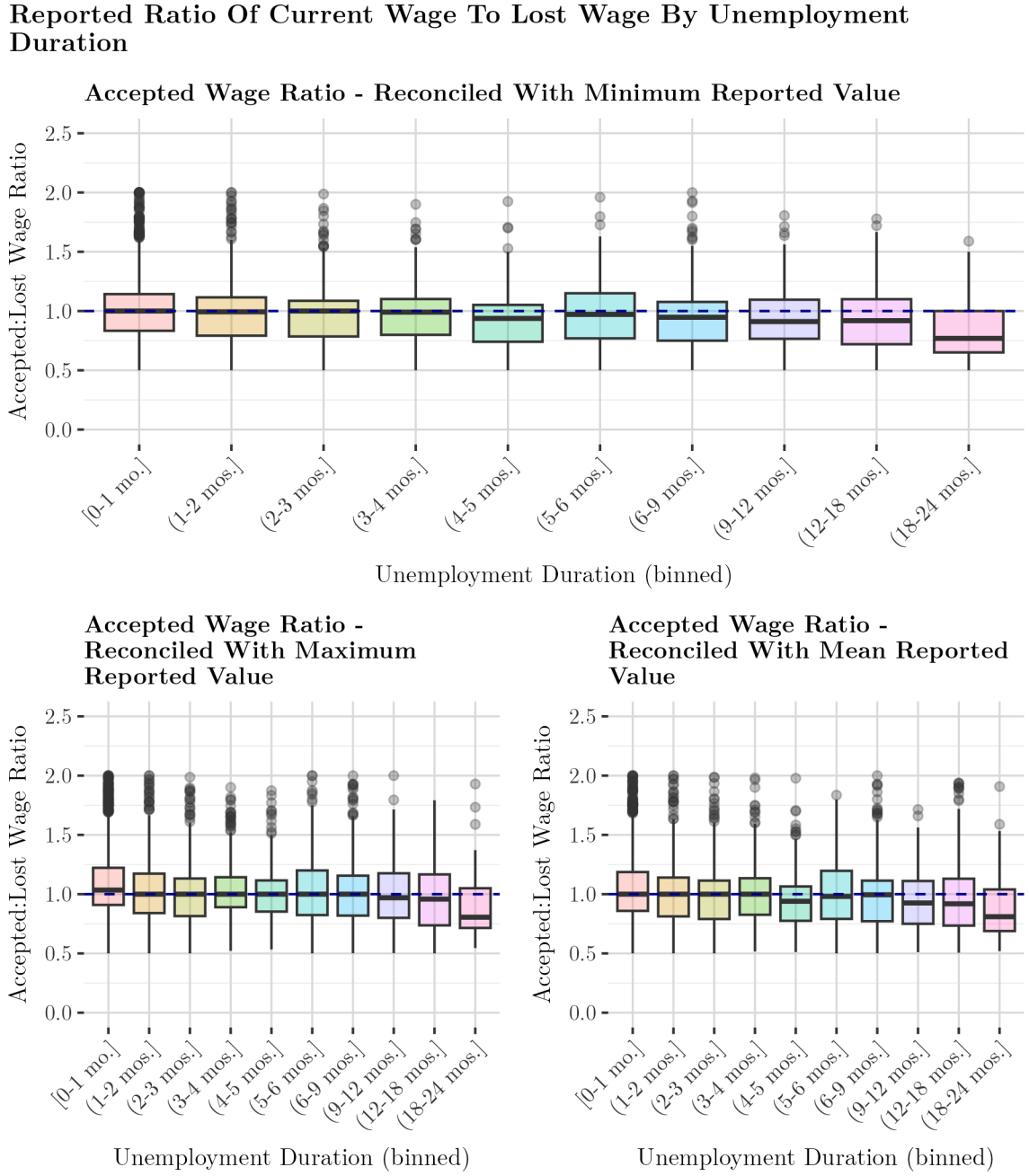


Figure 3: Box plots of the accepted re-employment wage ratio by binned unemployment duration, comparing three approaches to reconciling discrepancies between hourly and weekly wage reports: taking the minimum across available values (top), the maximum (lower left), and the mean (lower right). The dashed blue line marks a wage ratio of one. Reconciling with the maximum produces a modestly less pronounced decline in accepted wages; the minimum and mean methods yield visually indistinguishable patterns. All observations are weighted by Displaced Worker Supplement sample weights.

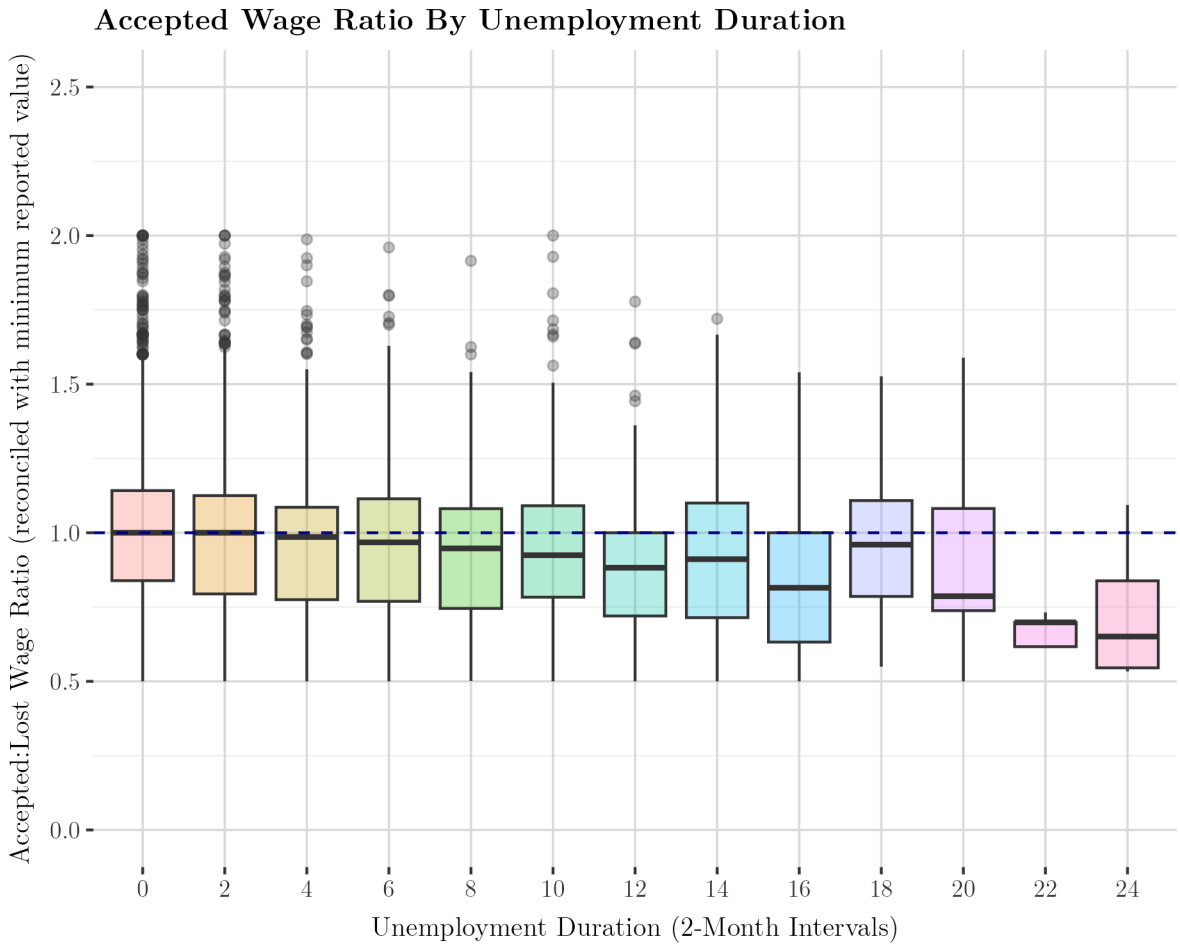


Figure 4: Box plots of the accepted re-employment wage ratio (minimum reconciled) by two-month intervals of unemployment duration. The dashed blue line marks a wage ratio of one. A decline in the median accepted wage ratio is visible from approximately twelve months of unemployment onwards.

employing any regressions. These plots both visually indicate a decline in the wage ratio with unemployment duration, with the spline fit indicating a potentially non-linear fit. Note that these descriptive relationships do not yet account for selection effects.

Sample Representativeness

To assess the representativeness of the displaced worker sample used in the analysis above, we compare key demographic characteristics of our sample against reference values from the Bureau of Labor Statistics. The figures below show the sample composition with respect to hourly wage, age, education attainment, and gender, all weighted by Displaced Worker Supplement sample weights. The sample over-represents below-mean wage earners relative to the BLS-reported mean hourly wage of $36 in 2024, which is consistent with the displaced worker population being concentrated in lower-wage, more routine-task-intensive occupations. The sample is broadly representative in terms of age, with the weighted sample median closely tracking the BLS-reported median labor force age of 41.7 years. In terms of education, individuals with a high school diploma represent the largest share of the sample, and men are over-represented relative to the general labor force.

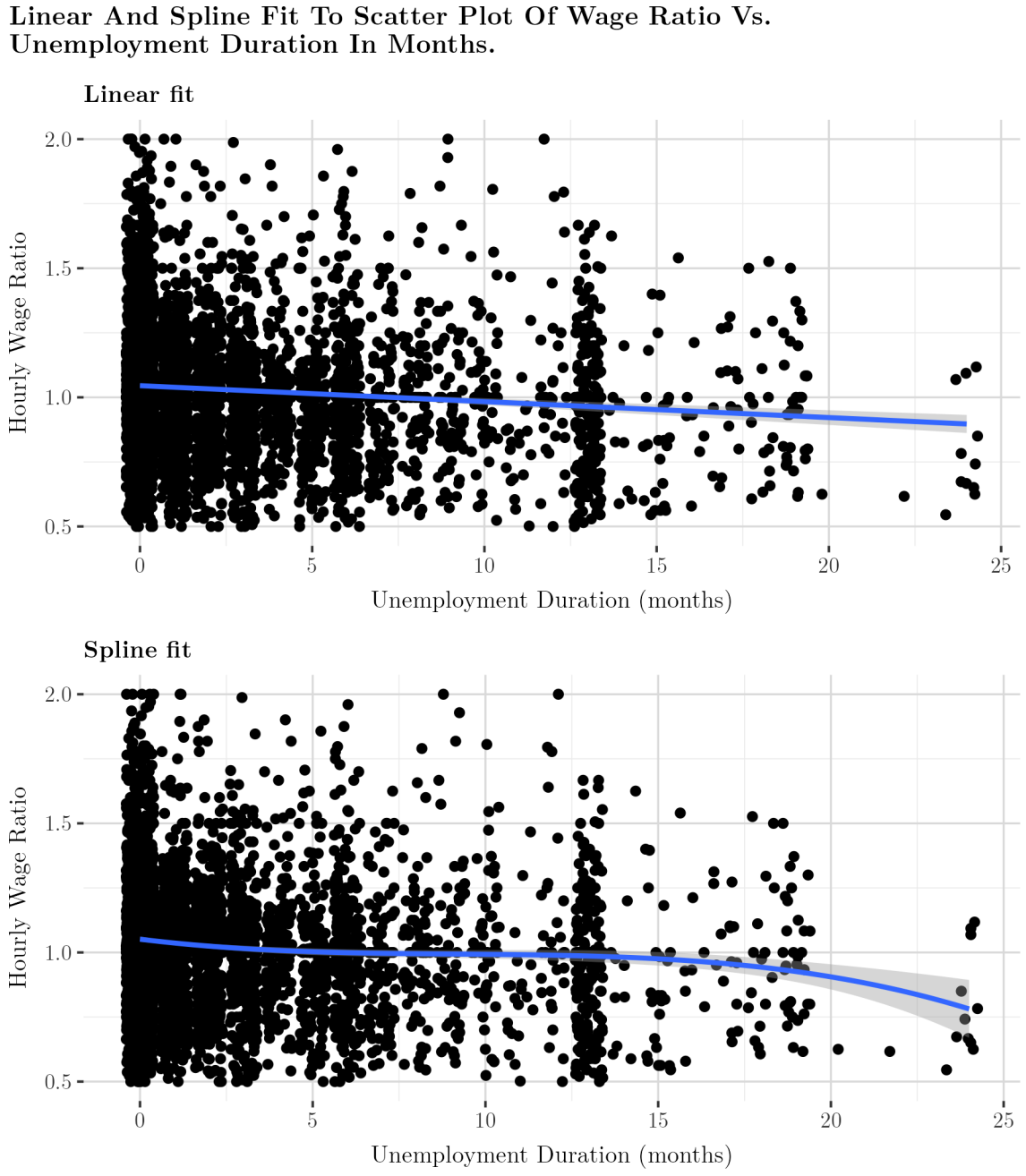


Figure 5: Scatter plots of the hourly wage ratio against unemployment duration in months, with a weighted linear fit (upper panel) and a cubic spline fit (lower panel). Both fits indicate a negative relationship between unemployment duration and the accepted wage ratio, with the spline suggesting the decline is concentrated after approximately twelve months of unemployment. Observations are weighted by Displaced Worker Supplement sample weights; the sample is restricted to wage ratios between 0.5 and 2 and durations below 96 weeks.

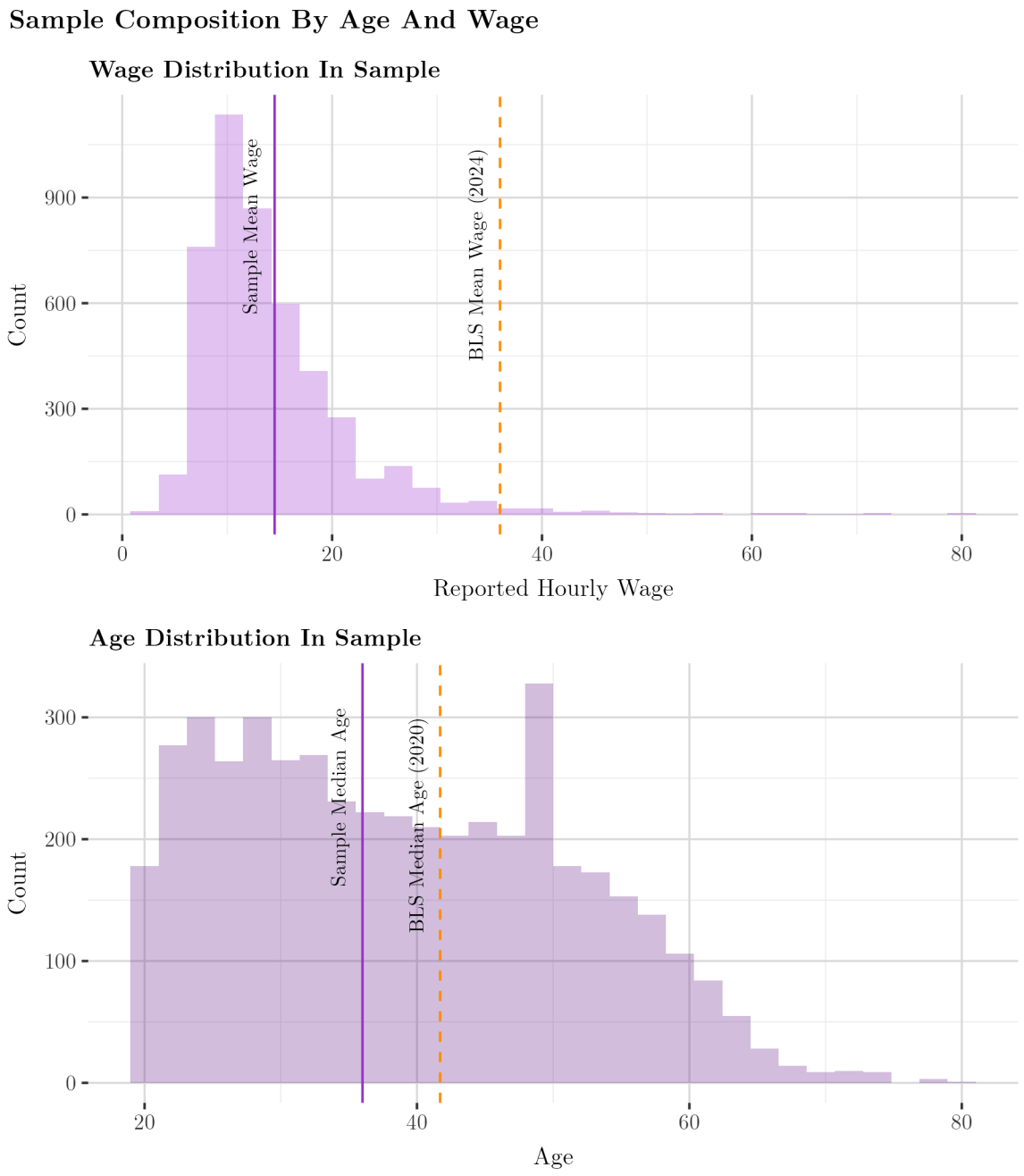


Figure 6: Sample composition with respect to hourly wage at the current job (upper) and age (lower), weighted by Displaced Worker Supplement sample weights. The purple vertical line marks the sample mean hourly wage (upper) and sample median age (lower); the orange dashed line marks the corresponding BLS-reported reference values (mean hourly wage, 2024; median labor force age, 2020). The sample over-represents below-mean wage earners and is broadly representative in terms of age.

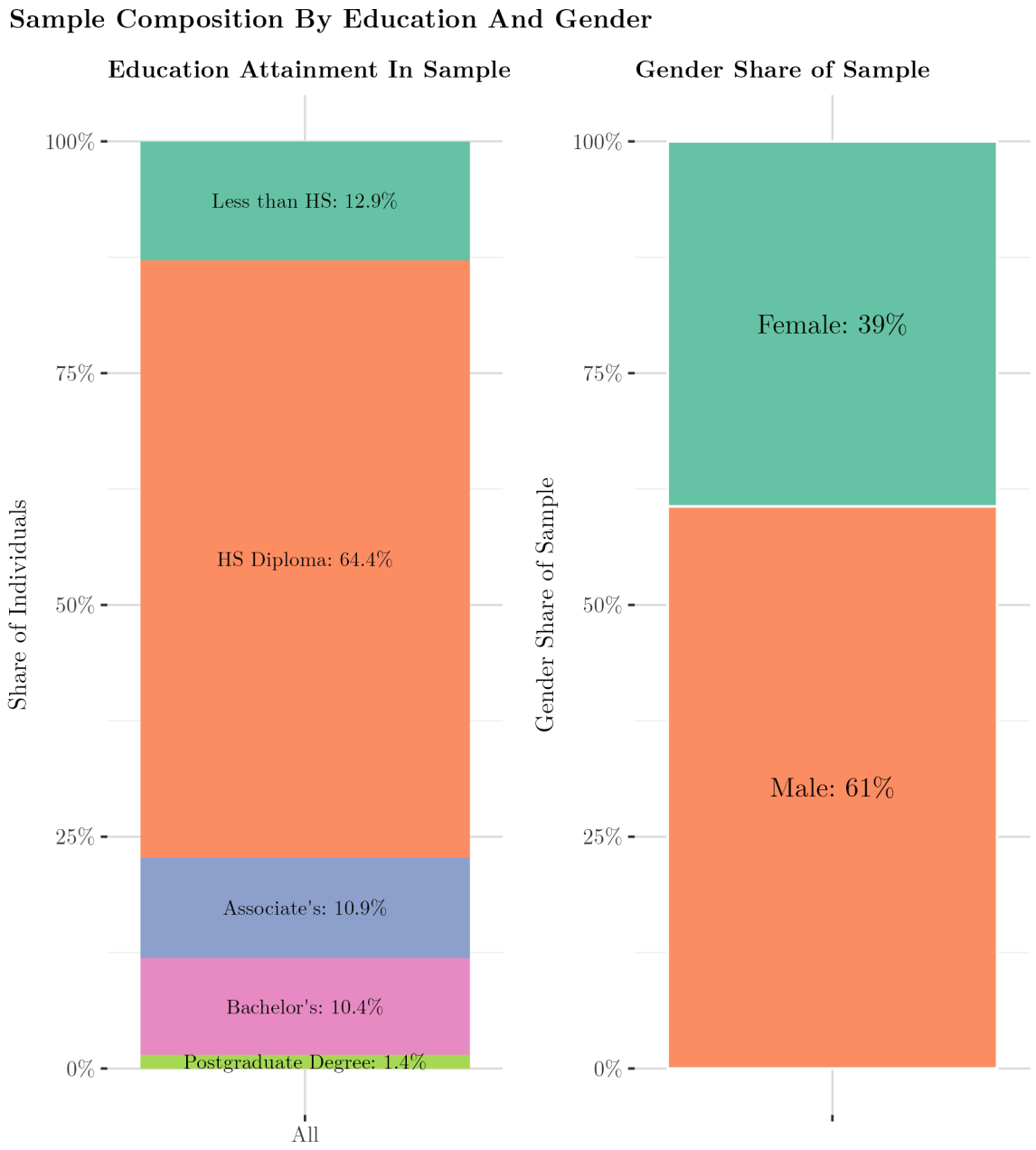


Figure 7: Sample composition with respect to education attainment (left) and gender (right), weighted by Displaced Worker Supplement sample weights. Individuals with a high school diploma represent the largest share of the sample; men are over-represented relative to the general labor force, consistent with the displaced worker population skewing toward male-dominated industries.

Cross-Sectional Regression Results

Before correcting for the non-uniformity of the sample (i.e., that there are fewer observations present for higher unemployment durations), we employ the following cross-sectional econometric specifications, varying samples and included control variables.

$W_i = \alpha + \beta_1 d_i + \beta_2 UI_i + \mathbf{X}_i' \beta_3 + \epsilon_i$

where W_i: Ratio of accepted wage to wage at lost job (hourly values).

d_i: Unemployment duration in continuous (months) or binned values.

UI_i: Control variable for having used or exhausted unemployment benefits.

$\mathbf{X}_i'$: Vector of control variables (sex, age, race, marital status, education level, and previous wage level).

We present and compare 72 variations on the above model, covering all combinations of:

- **Continuous vs. Discrete Treatment Variable (2 alternatives):** Continuous (monthly) versus binned unemployment duration.
- **Linear or Quadratic or Cubic representation of the principal treatment variable (3 alternatives):** We allow the treatment variable to enter non-linearly by testing the presence of quadratic or cubic relationships (with the lower-order transformations entering in all models). We do not include any non-linear representation of the binned unemployment duration as the bins are uneven and would thus require additional assumptions for validity. We do not present the cubic specifications in the regression tables due to poor fit, but display these estimations in the line figures for the raw and reweighted samples.
- **Controlling for UI Receipt or UI Exhaustion (3 alternatives):** The survey includes a variable for whether individuals use or exhaust unemployment insurance. We run the regressions without these UI controls, with the control for having used UI, or with the control for having exhausted UI.
- **With Controls (2 alternatives):** With or without additional demographic controls (sex, age, race, marital status, education).
- **Controlling for Wage Level of Lost Job (2 alternatives):** With or without wage level of lost job to control for income and the relationship between wage levels and the outcome wage ratio itself.
- **Outlier Clipped Sample (2 alternatives):** We either remove outliers where the wage ratio is within [0.5, 2] and reported unemployment duration is below 96 weeks (~ 2 years), or employ the raw sample.

In each regression table, we include the full set of coefficients to allow for examination of the regression coefficients on the controls as well as the principal variables of interest. In each table, we highlight β_1 as this is the main regression coefficient of interest. We employ the *check_model()* function from the *performance* package in R to display visual checks of various model assumptions.

Across all models (except those that include a control for having exhausted UI benefits) in the tables below we see a consistently negative coefficient on unemployment duration (~0.5-1 percentage point decrease in the wage ratio for each additional month spent in unemployment). These coefficients are all statistically significant at the 0.1% level. Interestingly, this coefficient loses statistical significance in any model that controls for having exhausted UI benefits. Otherwise, examining the performance of our model with continuous unemployment duration, UI use (not exhaustion), all controls, wage levels, and outlier correction we see that the model performs passably across various diagnostic tests.

In the sections that follow, we report all regression results. Additionally, we display model diagnostic plots for the specification with continuous unemployment duration, UI control, demographic controls, using the clipped sample, assuming linearity in the relationship between unemployment duration and the accepted reemployment wage ratio. The quantile-quantile plots below reveal that residuals are approximately normally distributed, though there is evidence of heavy-tailed behavior in the upper quantiles.

Table 1: Continuous Unemployment Duration: Linear Specifications, No Wage Control (Clipped Sample)

	Cont. (clipped)	Cont. w. UI (clipped)	Cont. w. exhausted UI (clipped)	Cont. w. controls (clipped)	Cont. w. UI w. controls (clipped)	Cont. w. exhausted UI w. controls (clipped)
Intercept	1.045***	1.045***	1.006***	1.163***	1.163***	1.113***
	(0.004)	(0.004)	(0.007)	(0.021)	(0.021)	(0.023)
Unemployment Duration (Months)	−0.006***	−0.006***	−0.004***	−0.006***	−0.006***	−0.004***
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Received Unemployment Compensation		0.000			0.000	
		(0.001)			(0.001)	
Exhausted Unemployment Compensation			0.001***			0.000***
			(0.000)			(0.000)
Female				−0.003	−0.003	−0.003
				(0.007)	(0.007)	(0.007)
Age				−0.002***	−0.002***	−0.002***
				(0.000)	(0.000)	(0.000)
White				−0.052**	−0.052**	−0.051**
				(0.016)	(0.016)	(0.016)
Black				−0.057**	−0.057**	−0.055**
				(0.018)	(0.018)	(0.018)
Mixed				−0.070**	−0.070*	−0.068*
				(0.027)	(0.027)	(0.027)
Married				0.011	0.011	0.012+
				(0.007)	(0.007)	(0.007)
High School				0.001	0.001	0.005
				(0.011)	(0.011)	(0.011)
Associate's Degree				−0.009	−0.009	−0.005
				(0.014)	(0.014)	(0.014)
Bachelor's Degree				0.066***	0.066***	0.070***
				(0.015)	(0.015)	(0.015)
Postgraduate Degree				0.030	0.030	0.037
				(0.031)	(0.031)	(0.031)
Num.Obs.	4644	4644	4644	4644	4644	4644
R2	0.012	0.012	0.022	0.032	0.032	0.040
R2 Adj.	0.012	0.011	0.022	0.029	0.029	0.037
RMSE	0.24	0.24	0.24	0.24	0.24	0.24

+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Continuous UE Duration

Table 2: Continuous Unemployment Duration: Quadratic Specifications, No Wage Control (Clipped Sample)

	Cont. Sq (clipped)	Cont. Sq w. UI (clipped)	Cont. Sq w. exhausted UI (clipped)	Cont. Sq w. controls (clipped)	Cont. Sq w. UI w. controls (clipped)	Cont. Sq w. exhausted UI w. controls (clipped)
Intercept	1.046***	1.046***	1.001***	1.163***	1.163***	1.108***
	(0.005)	(0.005)	(0.008)	(0.021)	(0.021)	(0.023)
Unemployment Duration (Months)	−0.007**	−0.007**	−0.001	−0.006**	−0.006**	−0.001
	(0.002)	(0.002)	(0.002)	(0.002)	(0.002)	(0.002)
Unemployment Duration (Months^2)	0.000	0.000	0.000	0.000	0.000	0.000
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Received Unemployment Compensation		0.000			0.000	
		(0.001)			(0.001)	
Exhausted Unemployment Compensation			0.001***			0.001***
			(0.000)			(0.000)
Female				−0.003	−0.003	−0.003
				(0.007)	(0.007)	(0.007)
Age				−0.002***	−0.002***	−0.002***
				(0.000)	(0.000)	(0.000)
White				−0.052**	−0.052**	−0.051**
				(0.016)	(0.016)	(0.016)
Black				−0.057**	−0.057**	−0.056**
				(0.018)	(0.018)	(0.018)
Mixed				−0.070**	−0.070*	−0.068*
				(0.027)	(0.027)	(0.027)
Married				0.011	0.011	0.012+
				(0.007)	(0.007)	(0.007)
High School				0.001	0.001	0.005
				(0.011)	(0.011)	(0.011)
Associate's Degree				−0.009	−0.009	−0.005
				(0.014)	(0.014)	(0.014)
Bachelor's Degree				0.066***	0.066***	0.070***
				(0.015)	(0.015)	(0.015)
Postgraduate Degree				0.030	0.030	0.037
				(0.031)	(0.031)	(0.031)
Num.Obs.	4644	4644	4644	4644	4644	4644
R2	0.012	0.012	0.023	0.032	0.032	0.040
R2 Adj.	0.011	0.011	0.022	0.029	0.029	0.038
RMSE	0.24	0.24	0.24	0.24	0.24	0.24

+ p < 0.1, * p < 0.05, ** p < 0.01, *** p < 0.001

Table 3: Continuous Unemployment Duration: Linear Specifications, No Wage Control (Full Sample)

	Cont.	Cont. w. UI	Cont. w. exhausted UI	Cont. w. controls	Cont. w. UI w. controls	Cont. w. exhausted UI w. controls
Intercept	1.053***	1.053***	1.006***	1.180***	1.180***	1.119***
	(0.006)	(0.006)	(0.010)	(0.031)	(0.031)	(0.033)
Unemployment Duration (Months)	−0.007***	−0.007***	−0.005***	−0.006***	−0.006***	−0.004***
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Received Unemployment Compensation		0.000			0.000	
		(0.001)			(0.001)	
Exhausted Unemployment Compensation			0.001***			0.001***
			(0.000)			(0.000)
Female				0.003	0.003	0.003
				(0.011)	(0.011)	(0.011)
Age				−0.003***	−0.003***	−0.003***
				(0.000)	(0.000)	(0.000)
White				−0.035	−0.035	−0.033
				(0.023)	(0.023)	(0.023)
Black				−0.048+	−0.048+	−0.045+
				(0.026)	(0.026)	(0.026)
Mixed				0.014	0.014	0.017
				(0.040)	(0.040)	(0.040)
Married				0.005	0.005	0.005
				(0.011)	(0.011)	(0.011)
High School				0.005	0.005	0.011
				(0.016)	(0.016)	(0.016)
Associate's Degree				0.032	0.032	0.038+
				(0.021)	(0.021)	(0.021)
Bachelor's Degree				0.079***	0.079***	0.085***
				(0.021)	(0.021)	(0.021)
Postgraduate Degree				0.114*	0.114*	0.122**
				(0.045)	(0.045)	(0.045)
Num.Obs.	4870	4870	4870	4870	4870	4870
R2	0.009	0.009	0.017	0.025	0.025	0.030
R2 Adj.	0.009	0.009	0.016	0.022	0.022	0.028
F	46.344	23.169	41.487	11.151	10.220	12.521
RMSE	0.38	0.38	0.37	0.37	0.37	0.37

+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Table 4: Continuous Unemployment Duration: Quadratic Specifications, No Wage Control (Full Sample)

	Cont. Sq	Cont. Sq w. UI	Cont. Sq w. exhausted UI	Cont. Sq w. controls	Cont. Sq w. UI w. controls	Cont. Sq w. exhausted UI w. controls
Intercept	1.055***	1.055***	1.002***	1.180***	1.180***	1.116***
	(0.007)	(0.007)	(0.011)	(0.031)	(0.031)	(0.033)
Unemployment Duration (Months)	−0.009***	−0.009***	−0.003	−0.008**	−0.008**	−0.003
	(0.002)	(0.002)	(0.003)	(0.002)	(0.002)	(0.003)
Unemployment Duration (Months^2)	0.000	0.000	0.000	0.000	0.000	0.000
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Received Unemployment Compensation		0.000			0.000	
		(0.001)			(0.001)	
Exhausted Unemployment Compensation			0.001***			0.001***
			(0.000)			(0.000)
Female				0.003	0.003	0.003
				(0.011)	(0.011)	(0.011)
Age				−0.003***	−0.003***	−0.003***
				(0.000)	(0.000)	(0.000)
White				−0.035	−0.035	−0.033
				(0.023)	(0.023)	(0.023)
Black				−0.048+	−0.048+	−0.045+
				(0.026)	(0.026)	(0.026)
Mixed				0.014	0.014	0.016
				(0.040)	(0.040)	(0.040)
Married				0.005	0.005	0.005
				(0.011)	(0.011)	(0.011)
High School				0.006	0.006	0.011
				(0.016)	(0.016)	(0.016)
Associate's Degree				0.032	0.032	0.037+
				(0.021)	(0.021)	(0.021)
Bachelor's Degree				0.080***	0.080***	0.084***
				(0.021)	(0.021)	(0.021)
Postgraduate Degree				0.115*	0.115*	0.122**
				(0.045)	(0.045)	(0.045)
Num.Obs.	4870	4870	4870	4870	4870	4870
R2	0.010	0.010	0.017	0.025	0.025	0.030
R2 Adj.	0.009	0.009	0.016	0.022	0.022	0.027
F	23.546	15.694	27.802	10.252	9.462	11.589
RMSE	0.38	0.38	0.37	0.37	0.37	0.37

+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

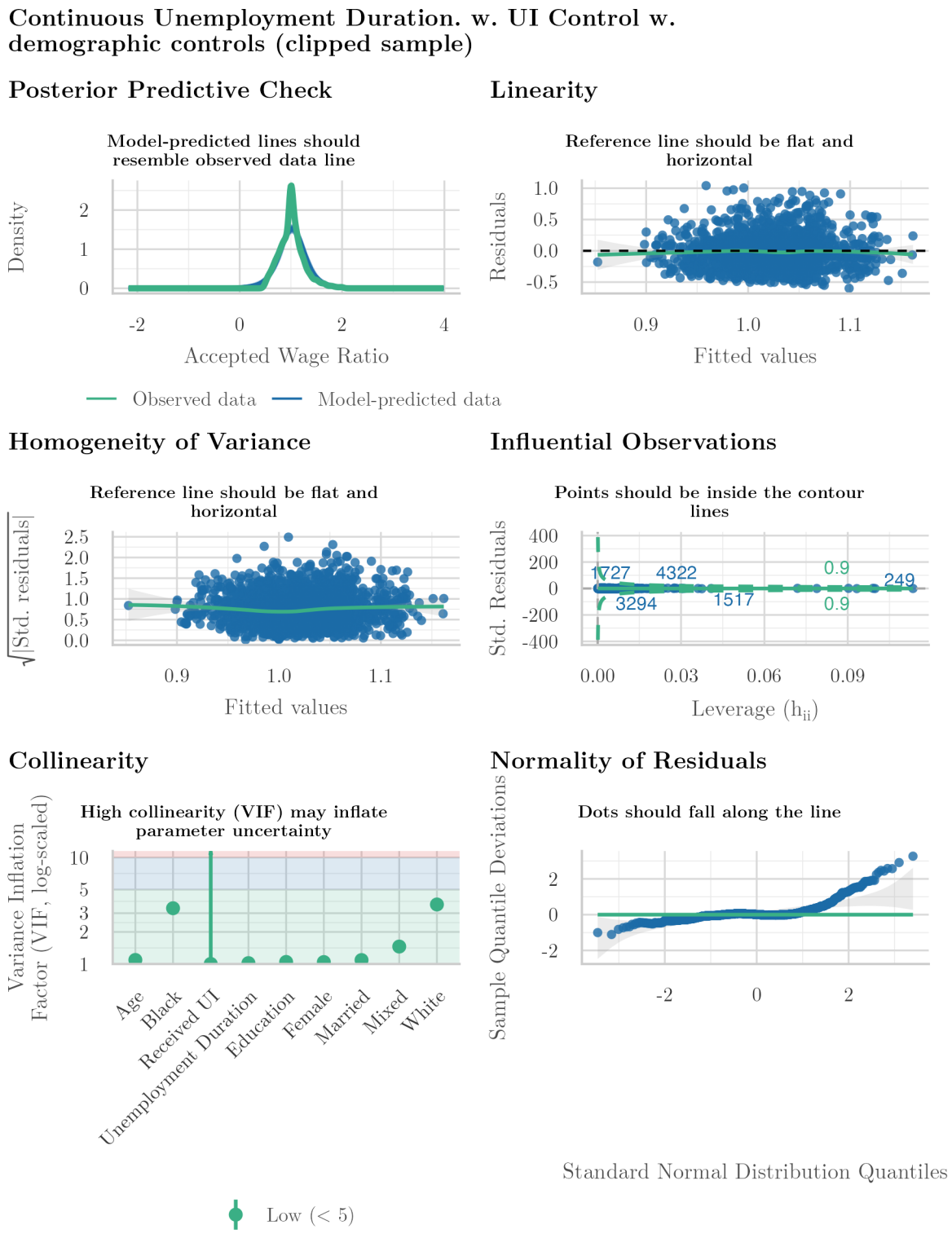


Figure 8: Model diagnostic plots for the baseline linear OLS specification (continuous monthly unemployment duration, UI receipt control, demographic controls, clipped sample). Panels display: a posterior predictive check comparing observed and model-predicted outcome distributions; a linearity check of residuals against fitted values; a homogeneity of variance check (square root of standardized residuals against fitted values); an influential observations plot of standardized residuals against leverage; a collinearity check reporting variance inflation factors; and a quantile-quantile plot of residuals against the standard normal distribution. Residuals are approximately normally distributed, with evidence of heavy-tailed behavior in the upper quantiles.

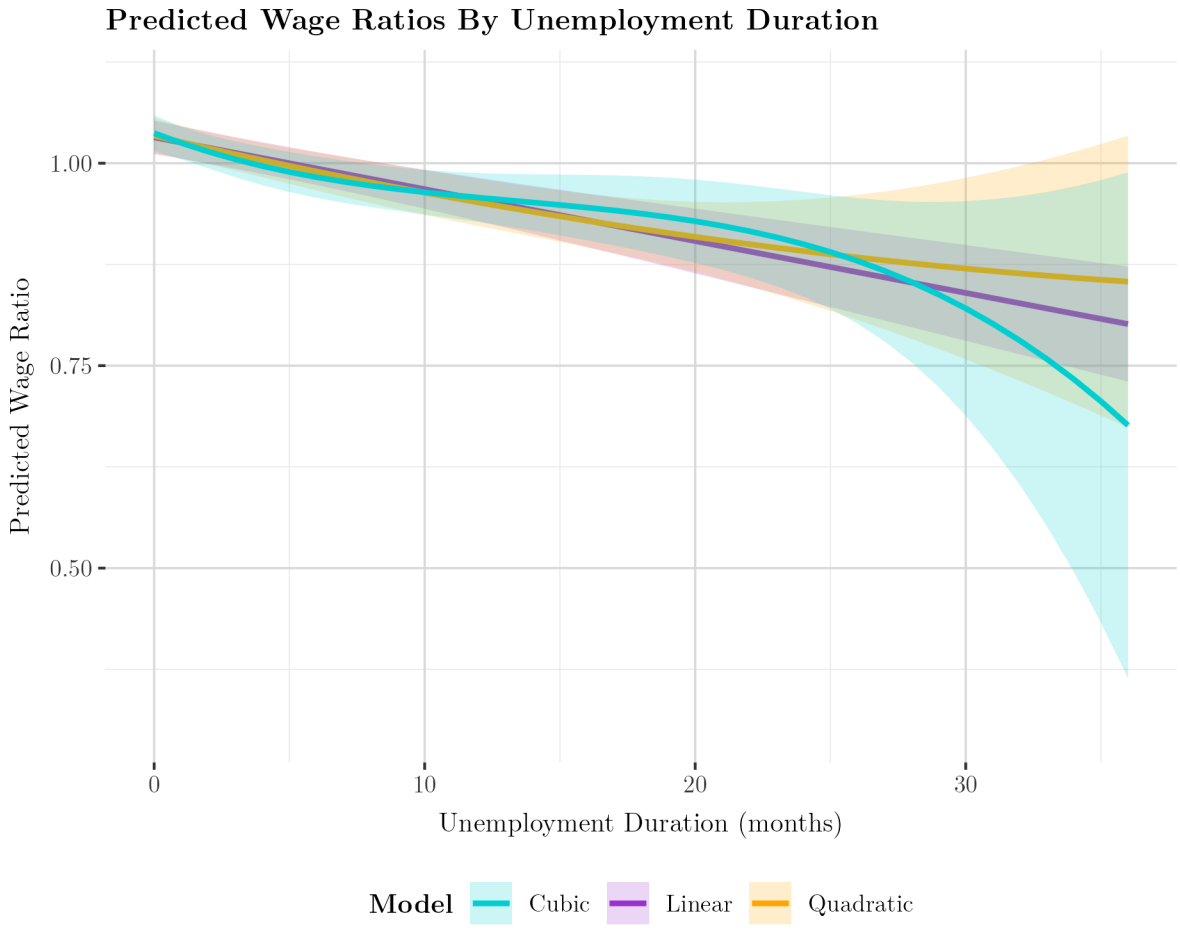


Figure 9: Predicted hourly wage ratios by unemployment duration (months) from weighted OLS regressions on the non-reweighted sample, shown for linear, quadratic, and cubic duration specifications with demographic controls. Shaded bands indicate 95% confidence intervals; predictions are evaluated at the sample mean of all covariates.

Table 5: Continuous Unemployment Duration: Linear Specifications, With Wage Control (Clipped Sample)

	Cont. (clipped)	Cont. w. UI (clipped)	Cont. w. exhausted UI (clipped)	Cont. w. controls (clipped)	Cont. w. UI w. controls (clipped)	Cont. w. exhausted UI w. controls (clipped)
Intercept	1.131***	1.130***	1.094***	1.217***	1.217***	1.173***
	(0.008)	(0.008)	(0.010)	(0.021)	(0.021)	(0.022)
Hourly Wage of Lost Job	−0.006***	−0.006***	−0.006***	−0.007***	−0.007***	−0.007***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Unemployment Duration (Months)	−0.006***	−0.006***	−0.004***	−0.006***	−0.006***	−0.004***
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Received Unemployment Compensation		0.000			0.000	
		(0.001)			(0.001)	
Exhausted Unemployment Compensation			0.000***			0.000***
			(0.000)			(0.000)
Female				−0.023**	−0.023**	−0.023**
				(0.007)	(0.007)	(0.007)
Age				−0.001***	−0.001***	−0.001***
				(0.000)	(0.000)	(0.000)
White				−0.050**	−0.050**	−0.049**
				(0.016)	(0.016)	(0.016)
Black				−0.061***	−0.061***	−0.060***
				(0.018)	(0.018)	(0.018)
Mixed				−0.067*	−0.067*	−0.065*
				(0.027)	(0.027)	(0.026)
Married				0.018*	0.018*	0.018*
				(0.007)	(0.007)	(0.007)
High School				0.019+	0.019+	0.022*
				(0.011)	(0.011)	(0.011)
Associate's Degree				0.027+	0.027+	0.029*
				(0.014)	(0.014)	(0.014)
Bachelor's Degree				0.121***	0.121***	0.123***
				(0.015)	(0.015)	(0.015)
Postgraduate Degree				0.120***	0.120***	0.123***
				(0.031)	(0.031)	(0.031)
Num.Obs.	4644	4644	4644	4644	4644	4644
R2	0.046	0.046	0.053	0.073	0.073	0.079
R2 Adj.	0.046	0.046	0.053	0.071	0.071	0.077
RMSE	0.24	0.24	0.24	0.23	0.23	0.23

+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Table 6: Continuous Unemployment Duration: Quadratic Specifications, With Wage Control (Clipped Sample)

	Cont. Sq (clipped)	Cont. Sq w. UI (clipped)	Cont. Sq w. exhausted UI (clipped)	Cont. Sq w. controls (clipped)	Cont. Sq w. UI w. controls (clipped)	Cont. Sq w. exhausted UI w. controls (clipped)
Intercept	1.131***	1.131***	1.090***	1.217***	1.217***	1.169***
	(0.008)	(0.008)	(0.011)	(0.021)	(0.021)	(0.023)
Hourly Wage of Lost Job	−0.006***	−0.006***	−0.006***	−0.007***	−0.007***	−0.007***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Unemployment Duration (Months)	−0.006**	−0.006**	−0.002	−0.006**	−0.006**	−0.002
	(0.002)	(0.002)	(0.002)	(0.002)	(0.002)	(0.002)
Unemployment Duration (Months^2)	0.000	0.000	0.000	0.000	0.000	0.000
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Received Unemployment Compensation		0.000			0.000	
		(0.001)			(0.001)	
Exhausted Unemployment Compensation			0.000***			0.000***
			(0.000)			(0.000)
Female				−0.023**	−0.023**	−0.023**
				(0.007)	(0.007)	(0.007)
Age				−0.001***	−0.001***	−0.001***
				(0.000)	(0.000)	(0.000)
White				−0.050**	−0.050**	−0.050**
				(0.016)	(0.016)	(0.016)
Black				−0.061***	−0.061***	−0.060***
				(0.018)	(0.018)	(0.018)
Mixed				−0.067*	−0.067*	−0.066*
				(0.027)	(0.027)	(0.026)
Married				0.018*	0.018*	0.018*
				(0.007)	(0.007)	(0.007)
High School				0.019+	0.019+	0.022*
				(0.011)	(0.011)	(0.011)
Associate's Degree				0.027+	0.027+	0.030*
				(0.014)	(0.014)	(0.014)
Bachelor's Degree				0.121***	0.121***	0.123***
				(0.015)	(0.015)	(0.015)
Postgraduate Degree				0.120***	0.120***	0.123***
				(0.031)	(0.031)	(0.031)
Num.Obs.	4644	4644	4644	4644	4644	4644
R2	0.046	0.046	0.053	0.073	0.073	0.079
R2 Adj.	0.046	0.045	0.053	0.071	0.071	0.077
RMSE	0.24	0.24	0.24	0.23	0.23	0.23

+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Table 7: Continuous Unemployment Duration: Linear Specifications, With Wage Control (Full Sample)

	Cont.	Cont. w. UI	Cont. w. exhausted UI	Cont. w. controls	Cont. w. UI w. controls	Cont. w. exhausted UI w. controls
Intercept	1.185***	1.186***	1.145***	1.263***	1.263***	1.213***
	(0.011)	(0.011)	(0.014)	(0.031)	(0.031)	(0.033)
Hourly Wage of Lost Job	−0.009***	−0.009***	−0.009***	−0.011***	−0.011***	−0.011***
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Unemployment Duration (Months)	−0.007***	−0.007***	−0.005***	−0.006***	−0.006***	−0.005***
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Received Unemployment Compensation		0.000			0.000	
		(0.001)			(0.001)	
Exhausted Unemployment Compensation			0.001***			0.000***
			(0.000)			(0.000)
Female				−0.028**	−0.028**	−0.028**
				(0.011)	(0.011)	(0.011)
Age				−0.002***	−0.002***	−0.001***
				(0.000)	(0.000)	(0.000)
White				−0.034	−0.034	−0.032
				(0.023)	(0.023)	(0.023)
Black				−0.058*	−0.058*	−0.055*
				(0.026)	(0.026)	(0.026)
Mixed				0.016	0.016	0.019
				(0.039)	(0.039)	(0.039)
Married				0.013	0.013	0.013
				(0.010)	(0.010)	(0.010)
High School				0.033*	0.033*	0.037*
				(0.015)	(0.015)	(0.015)
Associate's Degree				0.084***	0.084***	0.088***
				(0.021)	(0.021)	(0.021)
Bachelor's Degree				0.161***	0.161***	0.164***
				(0.022)	(0.022)	(0.022)
Postgraduate Degree				0.244***	0.244***	0.248***
				(0.045)	(0.045)	(0.045)
Num.Obs.	4870	4870	4870	4870	4870	4870
R2	0.048	0.048	0.052	0.069	0.069	0.073
R2 Adj.	0.047	0.047	0.051	0.067	0.067	0.070
F	121.551	81.034	88.352	30.216	27.890	29.347
RMSE	0.37	0.37	0.37	0.37	0.37	0.37

+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Table 8: Continuous Unemployment Duration: Quadratic Specifications, With Wage Control (Full Sample)

	Cont. Sq	Cont. Sq w. UI	Cont. Sq w. exhausted UI	Cont. Sq w. controls	Cont. Sq w. UI w. controls	Cont. Sq w. exhausted UI w. controls
Intercept	1.186***	1.187***	1.141***	1.263***	1.263***	1.210***
	(0.012)	(0.012)	(0.015)	(0.031)	(0.031)	(0.033)
Hourly Wage of Lost Job	−0.009***	−0.009***	−0.009***	−0.011***	−0.011***	−0.011***
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Unemployment Duration (Months)	−0.007**	−0.007**	−0.003	−0.007**	−0.007**	−0.003
	(0.002)	(0.002)	(0.003)	(0.002)	(0.002)	(0.003)
Unemployment Duration (Months^2)	0.000	0.000	0.000	0.000	0.000	0.000
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Received Unemployment Compensation		0.000			0.000	
		(0.001)			(0.001)	
Exhausted Unemployment Compensation			0.001***			0.000***
			(0.000)			(0.000)
Female				−0.028**	−0.028**	−0.028**
				(0.011)	(0.011)	(0.011)
Age				−0.002***	−0.002***	−0.001***
				(0.000)	(0.000)	(0.000)
White				−0.034	−0.034	−0.032
				(0.023)	(0.023)	(0.023)
Black				−0.057*	−0.057*	−0.055*
				(0.026)	(0.026)	(0.026)
Mixed				0.016	0.016	0.018
				(0.039)	(0.039)	(0.039)
Married				0.013	0.013	0.014
				(0.010)	(0.010)	(0.010)
High School				0.033*	0.033*	0.037*
				(0.015)	(0.015)	(0.015)
Associate's Degree				0.084***	0.084***	0.087***
				(0.021)	(0.021)	(0.021)
Bachelor's Degree				0.161***	0.161***	0.163***
				(0.022)	(0.022)	(0.022)
Postgraduate Degree				0.245***	0.245***	0.248***
				(0.045)	(0.045)	(0.045)
Num.Obs.	4870	4870	4870	4870	4870	4870
R2	0.048	0.048	0.052	0.069	0.069	0.073
R2 Adj.	0.047	0.047	0.051	0.067	0.067	0.070
F	81.047	60.784	66.451	27.893	25.899	27.287
RMSE	0.37	0.37	0.37	0.37	0.37	0.37

+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Binned UE Duration

Table 9: Binned Unemployment Duration: All Specifications, No Wage Control (Clipped Sample)

	Disc. (clipped)	Disc. w. UI (clipped)	Disc. w. exhausted UI (clipped)	Disc. w. controls (clipped)	Disc. w. UI w. controls (clipped)	Disc. w. exhausted UI w. controls (clipped)
Intercept	1.055***	1.055***	1.010***	1.170***	1.170***	1.116***
	(0.005)	(0.005)	(0.008)	(0.021)	(0.021)	(0.023)
Unemployment Duration (Binned)	−0.009***	−0.009***	−0.005***	−0.008***	−0.008***	−0.005***
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Received Unemployment Compensation		0.000			0.000	
		(0.001)			(0.001)	
Exhausted Unemployment Compensation			0.001***			0.001***
			(0.000)			(0.000)
Female				−0.003	−0.003	−0.003
				(0.007)	(0.007)	(0.007)
Age				−0.002***	−0.002***	−0.002***
				(0.000)	(0.000)	(0.000)
White				−0.052**	−0.052**	−0.050**
				(0.016)	(0.016)	(0.016)
Black				−0.056**	−0.056**	−0.055**
				(0.018)	(0.018)	(0.018)
Mixed				−0.070**	−0.070*	−0.068*
				(0.027)	(0.027)	(0.027)
Married				0.011	0.011	0.012
				(0.007)	(0.007)	(0.007)
High School				0.001	0.001	0.005
				(0.011)	(0.011)	(0.011)
Associate's Degree				−0.009	−0.009	−0.005
				(0.014)	(0.014)	(0.014)
Bachelor's Degree				0.067***	0.067***	0.071***
				(0.015)	(0.015)	(0.015)
Postgraduate Degree				0.030	0.030	0.038
				(0.031)	(0.031)	(0.031)
Num.Obs.	4644	4644	4644	4644	4644	4644
R2	0.011	0.011	0.021	0.031	0.031	0.039
R2 Adj.	0.011	0.010	0.021	0.028	0.028	0.036
RMSE	0.24	0.24	0.24	0.24	0.24	0.24

+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Table 10: Binned Unemployment Duration: All Specifications, No Wage Control (Full Sample)

	Disc.	Disc. w. UI	Disc. w. exhausted UI	Disc. w. controls	Disc. w. UI w. controls	Disc. w. exhausted UI w. controls
Intercept	1.069***	1.069***	1.016***	1.190***	1.190***	1.127***
	(0.008)	(0.008)	(0.012)	(0.031)	(0.031)	(0.034)
Unemployment Duration (Binned)	−0.013***	−0.013***	−0.008***	−0.011***	−0.011***	−0.007***
	(0.002)	(0.002)	(0.002)	(0.002)	(0.002)	(0.002)
Received Unemployment Compensation		0.000			0.000	
		(0.001)			(0.001)	
Exhausted Unemployment Compensation			0.001***			0.001***
			(0.000)			(0.000)
Female				0.003	0.003	0.003
				(0.011)	(0.011)	(0.011)
Age				−0.003***	−0.003***	−0.003***
				(0.000)	(0.000)	(0.000)
White				−0.035	−0.035	−0.033
				(0.023)	(0.023)	(0.023)
Black				−0.047+	−0.047+	−0.045+
				(0.026)	(0.026)	(0.026)
Mixed				0.014	0.014	0.017
				(0.040)	(0.040)	(0.040)
Married				0.004	0.004	0.005
				(0.011)	(0.011)	(0.011)
High School				0.006	0.006	0.012
				(0.016)	(0.016)	(0.016)
Associate's Degree				0.033	0.033	0.038+
				(0.021)	(0.021)	(0.021)
Bachelor's Degree				0.082***	0.082***	0.087***
				(0.021)	(0.021)	(0.021)
Postgraduate Degree				0.116**	0.116**	0.124**
				(0.045)	(0.045)	(0.045)
Num.Obs.	4870	4870	4870	4870	4870	4870
R2	0.010	0.010	0.016	0.025	0.025	0.030
R2 Adj.	0.009	0.009	0.016	0.022	0.022	0.027
F	47.638	23.816	40.199	11.165	10.232	12.314
RMSE	0.37	0.37	0.37	0.37	0.37	0.37

+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Table 11: Binned Unemployment Duration: All Specifications, With Wage Control (Clipped Sample)

	Disc. (clipped)	Disc. w. UI (clipped)	Disc. w. exhausted UI (clipped)	Disc. w. controls (clipped)	Disc. w. UI w. controls (clipped)	Disc. w. exhausted UI w. controls (clipped)
Intercept	1.139***	1.139***	1.098***	1.224***	1.224***	1.176***
	(0.008)	(0.008)	(0.011)	(0.021)	(0.021)	(0.023)
Hourly Wage of Lost Job	−0.006***	−0.006***	−0.006***	−0.007***	−0.007***	−0.007***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Unemployment Duration (Binned)	−0.009***	−0.009***	−0.005***	−0.008***	−0.008***	−0.005***
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Received Unemployment Compensation		0.000			0.000	
		(0.001)			(0.001)	
Exhausted Unemployment Compensation			0.000***			0.000***
			(0.000)			(0.000)
Female				−0.023**	−0.023**	−0.023**
				(0.007)	(0.007)	(0.007)
Age				−0.001***	−0.001***	−0.001***
				(0.000)	(0.000)	(0.000)
White				−0.050**	−0.050**	−0.049**
				(0.016)	(0.016)	(0.016)
Black				−0.061***	−0.061***	−0.059***
				(0.018)	(0.018)	(0.018)
Mixed				−0.067*	−0.067*	−0.065*
				(0.027)	(0.027)	(0.026)
Married				0.017*	0.017*	0.018*
				(0.007)	(0.007)	(0.007)
High School				0.019+	0.019+	0.022*
				(0.011)	(0.011)	(0.011)
Associate's Degree				0.027+	0.027+	0.030*
				(0.014)	(0.014)	(0.014)
Bachelor's Degree				0.122***	0.122***	0.124***
				(0.015)	(0.015)	(0.015)
Postgraduate Degree				0.120***	0.120***	0.124***
				(0.031)	(0.031)	(0.031)
Num.Obs.	4644	4644	4644	4644	4644	4644
R2	0.045	0.045	0.052	0.072	0.072	0.078
R2 Adj.	0.045	0.045	0.051	0.070	0.070	0.076
RMSE	0.24	0.24	0.24	0.23	0.23	0.23

+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Table 12: Binned Unemployment Duration: All Specifications, With Wage Control (Full Sample)

	Disc.	Disc. w. UI	Disc. w. exhausted UI	Disc. w. controls	Disc. w. UI w. controls	Disc. w. exhausted UI w. controls
Intercept	1.198***	1.199***	1.154***	1.272***	1.272***	1.220***
	(0.012)	(0.012)	(0.016)	(0.031)	(0.031)	(0.034)
Hourly Wage of Lost Job	−0.009***	−0.009***	−0.009***	−0.011***	−0.011***	−0.011***
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
Unemployment Duration (Binned)	−0.011***	−0.011***	−0.008***	−0.011***	−0.010***	−0.007***
	(0.002)	(0.002)	(0.002)	(0.002)	(0.002)	(0.002)
Received Unemployment Compensation		0.000			0.000	
		(0.001)			(0.001)	
Exhausted Unemployment Compensation			0.000***			0.000***
			(0.000)			(0.000)
Female				−0.028**	−0.028**	−0.028**
				(0.011)	(0.011)	(0.011)
Age				−0.002***	−0.002***	−0.001***
				(0.000)	(0.000)	(0.000)
White				−0.034	−0.034	−0.032
				(0.023)	(0.023)	(0.023)
Black				−0.057*	−0.057*	−0.054*
				(0.026)	(0.026)	(0.026)
Mixed				0.017	0.017	0.019
				(0.039)	(0.039)	(0.039)
Married				0.013	0.013	0.013
				(0.010)	(0.010)	(0.010)
High School				0.034*	0.034*	0.038*
				(0.015)	(0.015)	(0.015)
Associate's Degree				0.085***	0.085***	0.088***
				(0.021)	(0.021)	(0.021)
Bachelor's Degree				0.163***	0.163***	0.166***
				(0.022)	(0.022)	(0.022)
Postgraduate Degree				0.246***	0.246***	0.250***
				(0.045)	(0.045)	(0.045)
Num.Obs.	4870	4870	4870	4870	4870	4870
R2	0.047	0.047	0.051	0.069	0.069	0.072
R2 Adj.	0.047	0.047	0.050	0.067	0.067	0.070
F	120.632	80.422	86.995	30.090	27.774	29.084
RMSE	0.37	0.37	0.37	0.37	0.37	0.37

+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Regressions with Selection Correction

One of the challenges with the survey data is that the sample grows significantly smaller for higher reported of unemployment duration, as shown above. Therefore, we re-weight our survey sample (beyond the Census weights already employed) to ensure population similarity across unemployment durations. More precisely, we employ propensity score matching using a generalized linear model, entropy-balancing, and Heckman selection correction. Overall, we find the econometric results reported earlier to be consistent across these implementations, with the coefficients on unemployment duration remaining stable.

Entropy Balancing

Entropy balancing reweights observations in the original sample such that pre-specified moments of the covariate distributions (here, the means of all demographic control variables) are exactly balanced across values of unemployment duration. Unlike propensity score methods, entropy balancing achieves covariate balance directly by solving a constrained reweighting problem, without requiring a model for the propensity score itself.

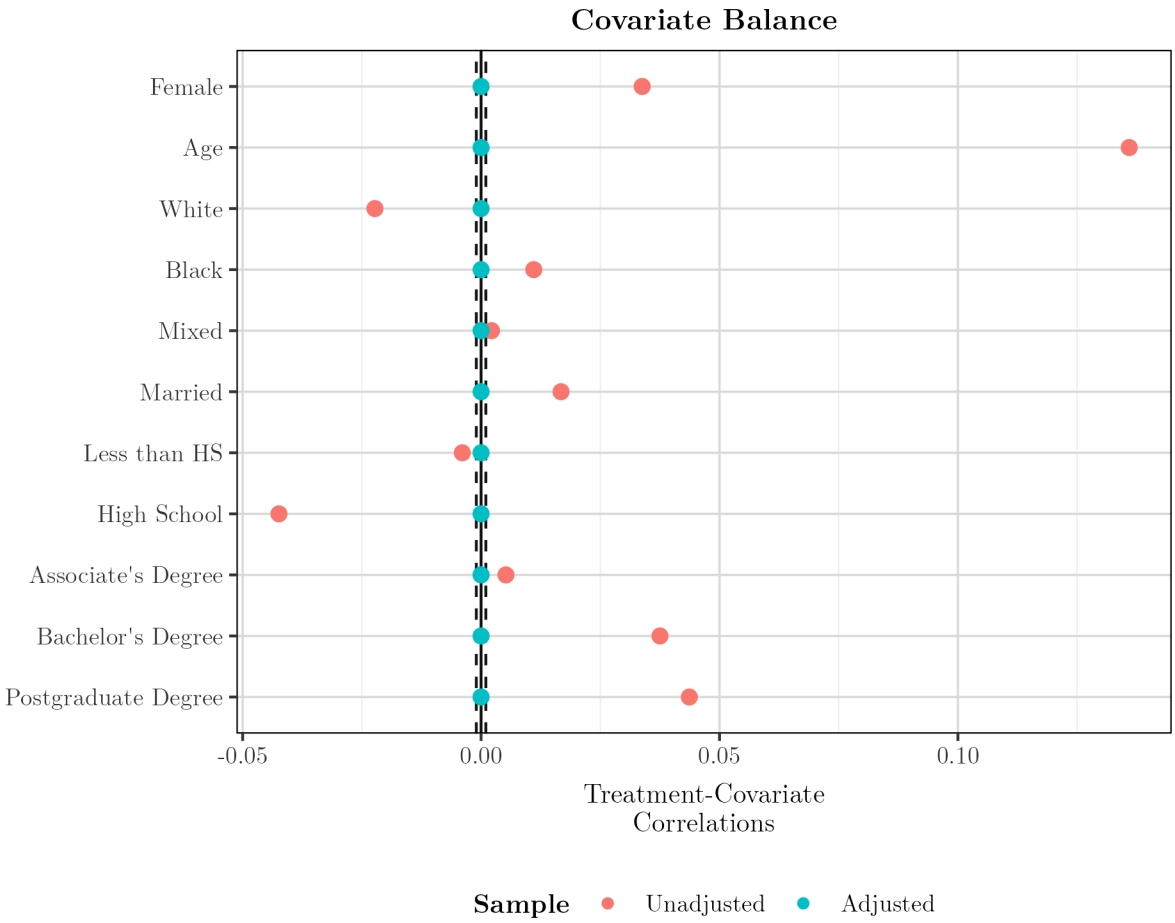


Figure 10: Covariate balance before and after entropy-balancing reweighting, shown as standardized mean differences. The dashed vertical line marks the 0.001 balance threshold. All covariates achieve balance within this threshold after reweighting.

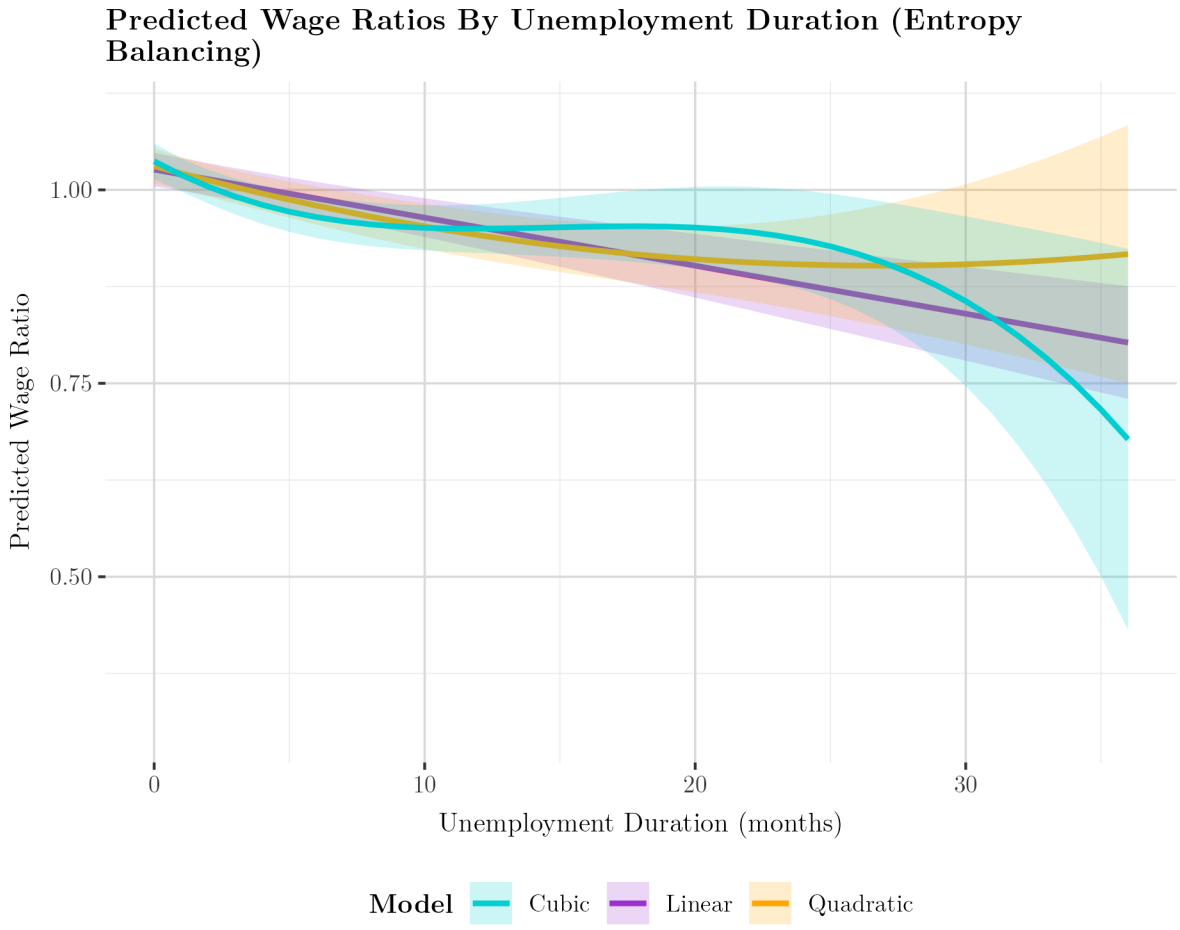


Figure 11: Predicted hourly wage ratios by unemployment duration (months) from regressions on the entropy-balanced sample, shown for linear, quadratic, and cubic duration specifications with demographic controls. Shaded bands indicate 95% confidence intervals; predictions are evaluated at the sample mean of all covariates.

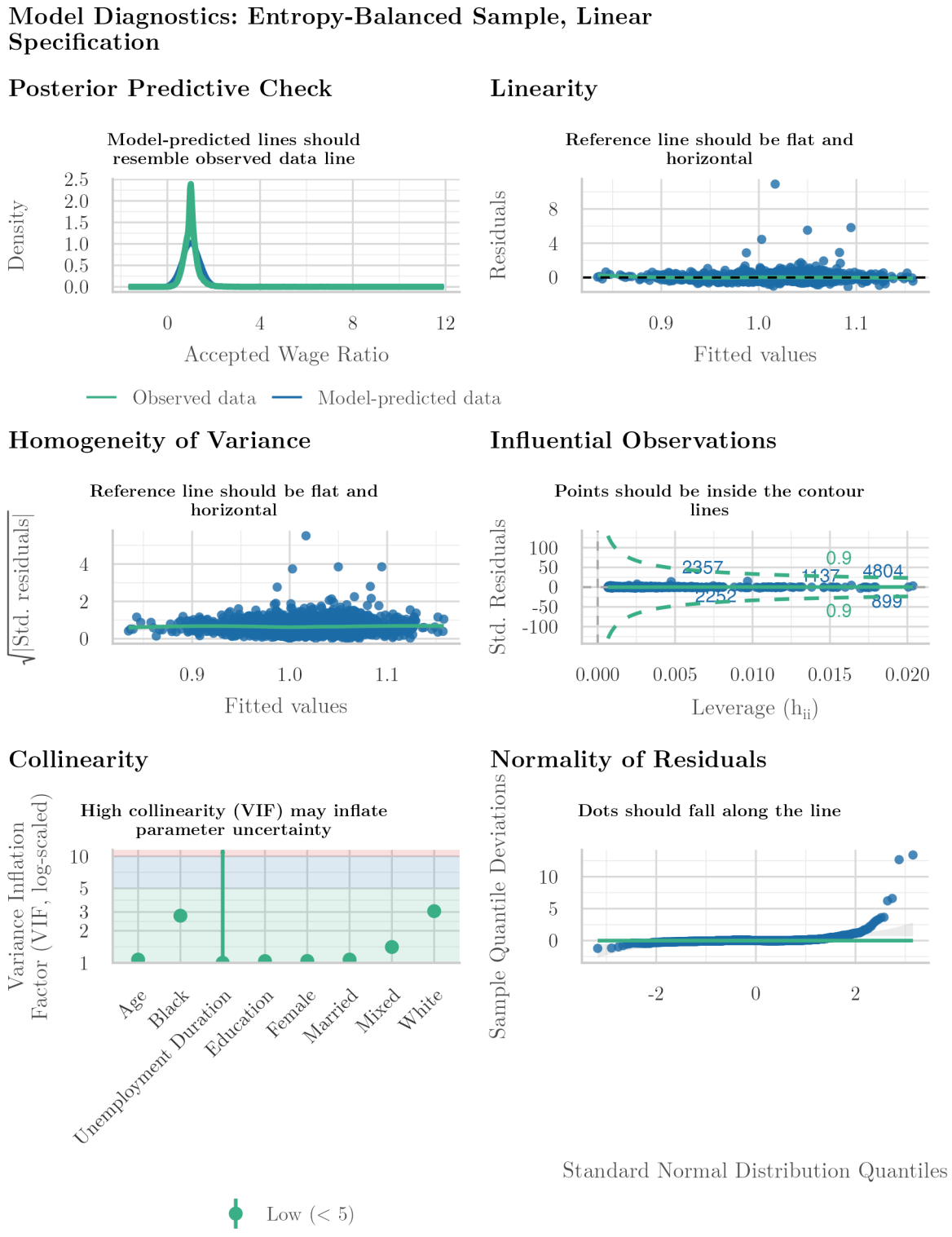


Figure 12: Model diagnostic plots for the linear specification estimated on the entropy-balanced sample. Panels display: a posterior predictive check comparing observed and model-predicted outcome distributions; a linearity check of residuals against fitted values; a homogeneity of variance check (square root of standardized residuals against fitted values); an influential observations plot of standardized residuals against leverage; a collinearity check reporting variance inflation factors; and a quantile-quantile plot of residuals against the standard normal distribution.

Propensity Score Weighting with GLM Estimator

As a second reweighting approach, we estimate propensity scores using a generalized linear model (GLM) that regresses unemployment duration on the full set of demographic control variables, then reweight observations by the inverse of their estimated propensity scores to achieve covariate balance. Relative to entropy balancing, the GLM estimator is more conventional but imposes stronger functional form assumptions on the relationship between covariates and unemployment duration, and as shown in the plot below, achieves somewhat looser balance on several covariates at the tighter 0.001 threshold.

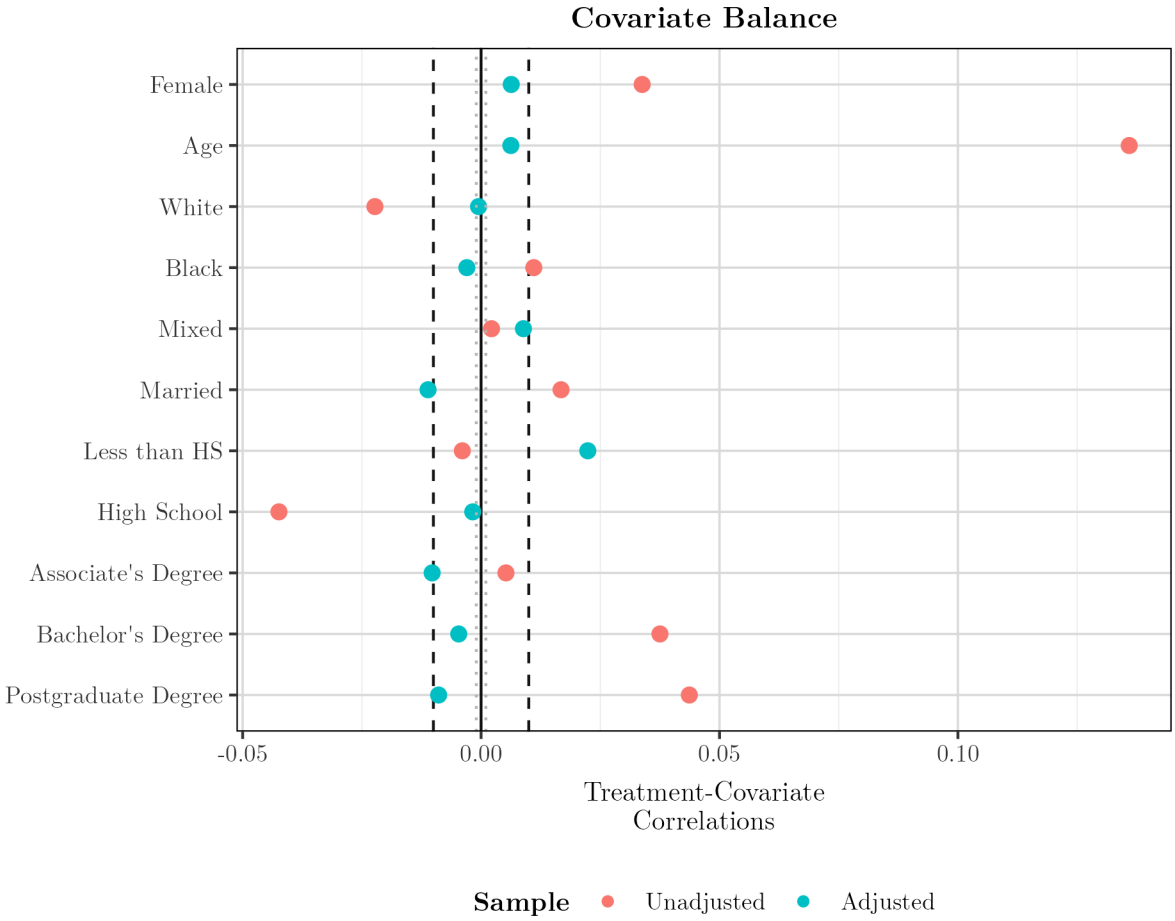


Figure 13: Covariate balance before and after propensity-score reweighting using a generalized linear model (GLM) estimator, shown as standardized mean differences. The solid dashed line marks the 0.01 balance threshold; the dotted lines mark the tighter 0.001 threshold. Most covariates balance at the 0.01 level; fewer pass the tighter threshold compared to entropy balancing.

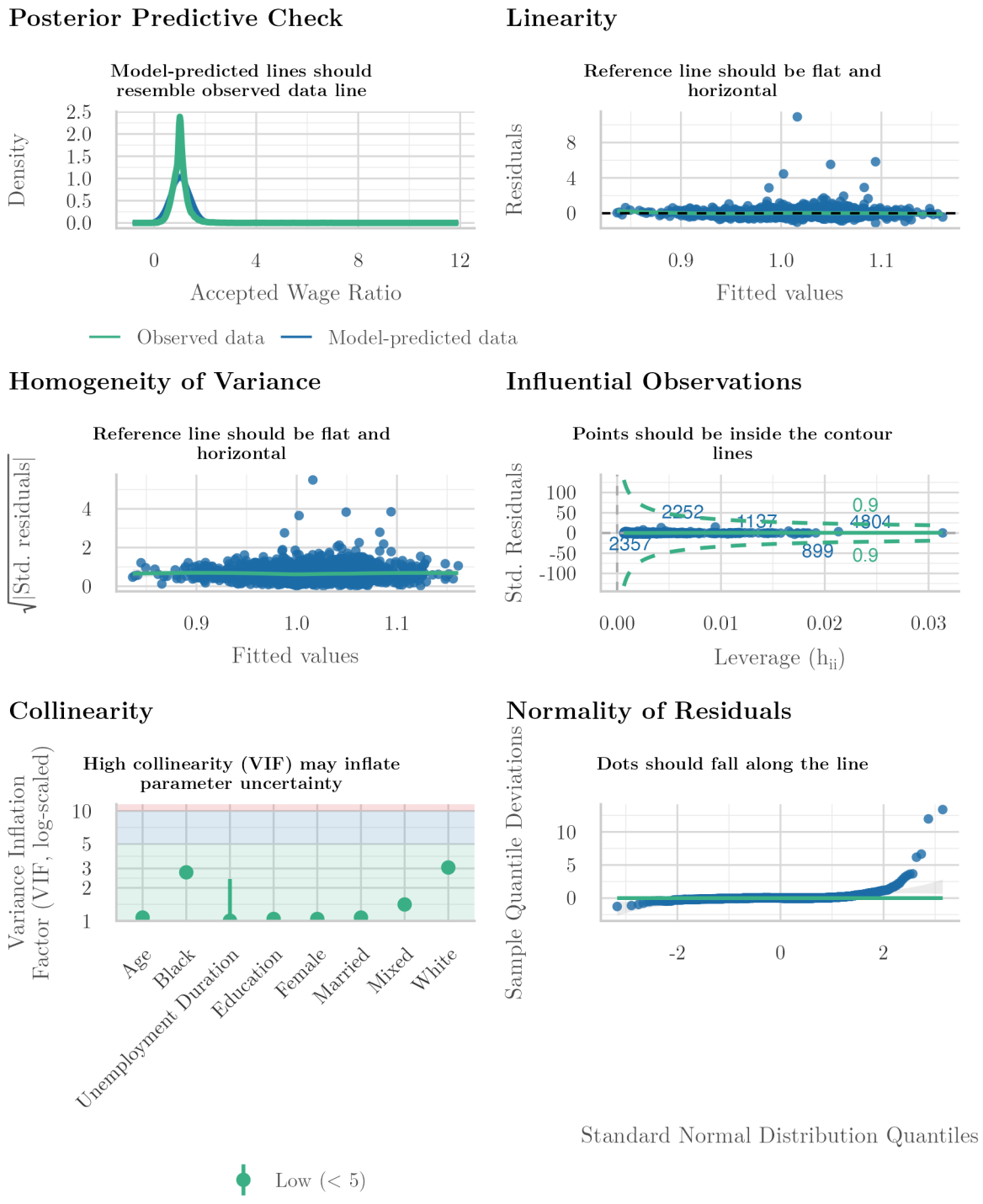


Figure 14: Model diagnostic plots for the linear specification estimated on the GLM propensity-score-reweighted sample. Panels display: a posterior predictive check comparing observed and model-predicted outcome distributions; a linearity check of residuals against fitted values; a homogeneity of variance check (square root of standardized residuals against fitted values); an influential observations plot of standardized residuals against leverage; a collinearity check reporting variance inflation factors; and a quantile-quantile plot of residuals against the standard normal distribution.

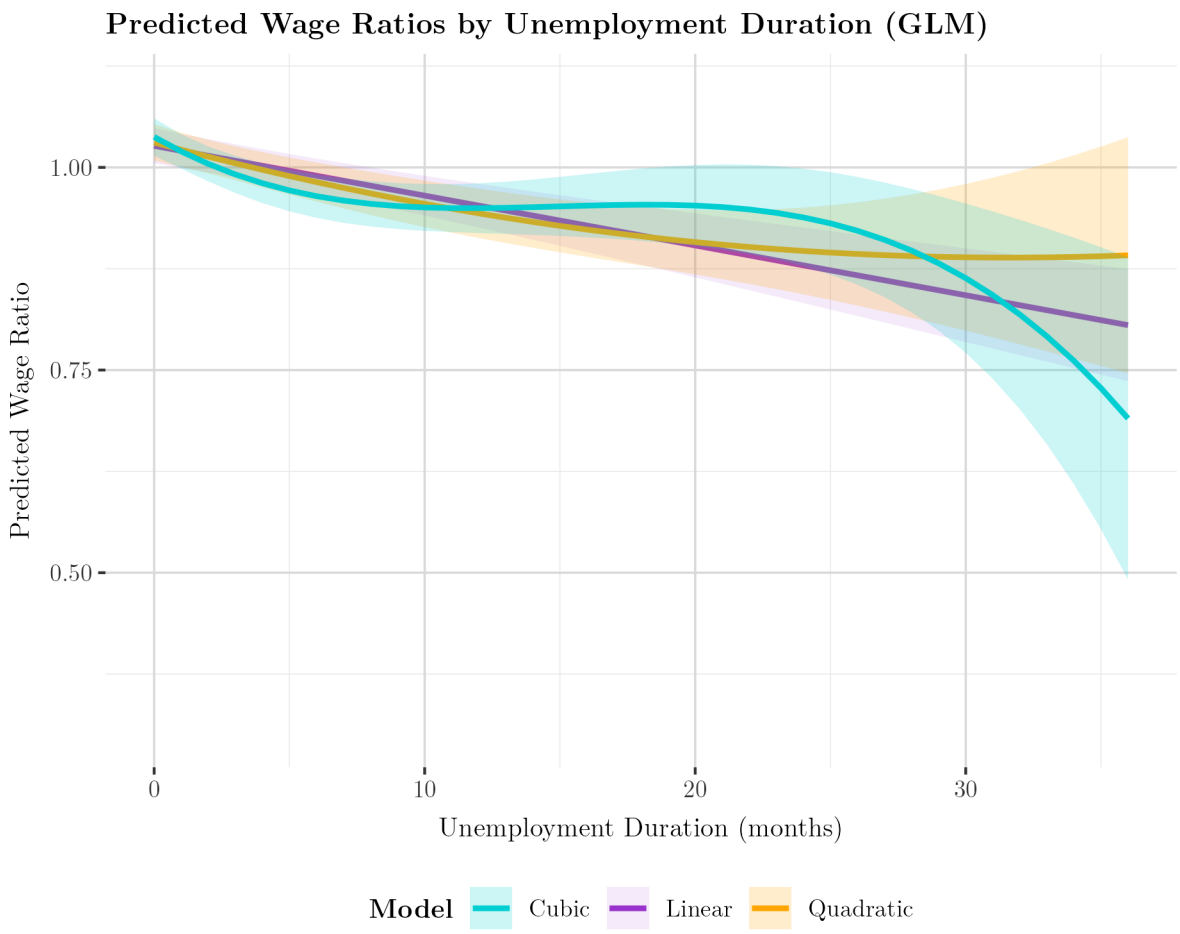


Figure 15: Predicted hourly wage ratios by unemployment duration (months) from regressions on the GLM propensity-score-reweighted sample, shown for linear, quadratic, and cubic duration specifications with demographic controls. Shaded bands indicate 95% confidence intervals; predictions are evaluated at the sample mean of all covariates.

Heckman Selection

Additionally, we employ Heckman Selection correction to correct for likely selection effects in the data. We correct for selection effects by balancing across the various control variables (gender, age, race, marital status, and level of education).

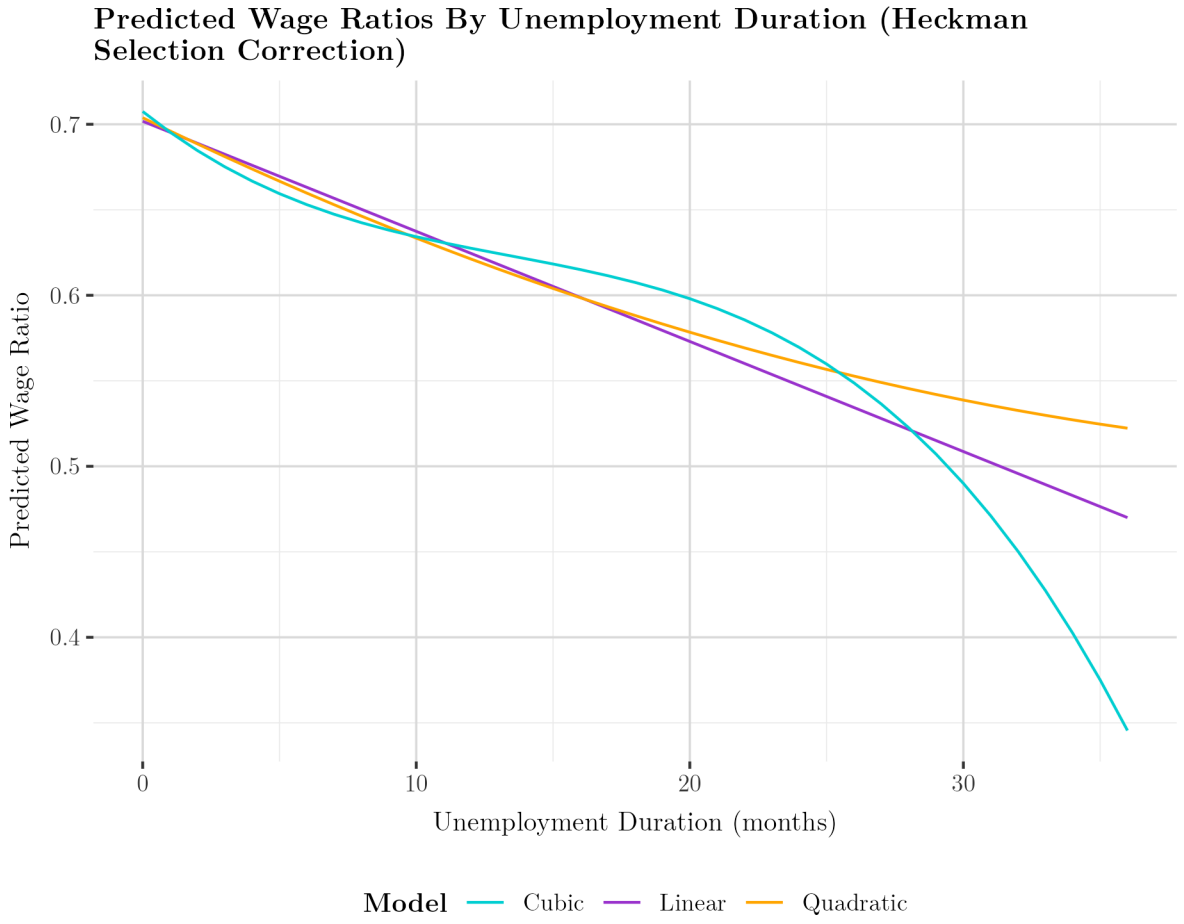


Figure 16: Predicted hourly wage ratios by unemployment duration (months) from two-step Heckman selection-corrected regressions, shown for linear, quadratic, and cubic duration specifications. The selection equation uses gender, age, race, marital status, and education to account for the non-random observability of re-employment wages in the sample.

Regression Results with Sample Reweighting

Finally, we provide a comparison of the regression coefficients of the unbalanced, Heckman corrected, entropy-balanced, and GLM reweighting using propensity score matching. Most importantly, the regression coefficient on unemployment duration is consistent across specifications indicating that the consequences of non-uniformity and selection effects in our sample are minimal.

Next, we predict the accepted wage ratio by unemployment duration using the unbalanced LM specification, plotting predicted values alongside 95% confidence intervals. These predictions inform the reservation wage adjustment mechanism in the agent-based simulation. At each additional month of unemployment, an agent draws a reservation wage multiplier from a normal distribution parameterized by the predicted mean and standard error at that unemployment duration. The agent then sets their reservation wage to the product of their previously held wage and this drawn multiplier. For unemployment durations beyond 36 months (the maximum observed in the estimation sample) agents draw from a normal distribution centered at 0.5, the lower bound of the estimation sample's wage ratio range. The GLM and entropy-balanced predictions shown in the figure below serve as robustness checks on the unbalanced LM, confirming stability of the predicted wage ratio profile across reweighting methods.

Table 13: Comparison of Unemployment Duration Coefficients Across Reweighting Methods

	Unbalanced LM	Heckman Correction	Entropy Balanced Reweight	GLM Reweight
Intercept	1.180***	1.131***	1.147***	1.143***
	(0.031)	(0.041)	(0.033)	(0.033)
Unemployment Duration (Months)	−0.006***	−0.006***	−0.006***	−0.006***
	(0.001)	(0.001)	(0.001)	(0.001)
Received Unemployment Compensation	0.000			
	(0.001)			
Female	0.003	0.018	0.001	0.001
	(0.011)	(0.014)	(0.011)	(0.011)
Age	−0.003***	−0.007***	−0.002***	−0.002***
	(0.000)	(0.002)	(0.000)	(0.000)
White	−0.035	−0.162*	−0.027	−0.023
	(0.023)	(0.074)	(0.025)	(0.025)
Black	−0.048+	−0.125*	−0.040	−0.036
	(0.026)	(0.050)	(0.030)	(0.030)
Mixed	0.014	−0.054	0.003	0.007
	(0.040)	(0.055)	(0.044)	(0.044)
Married	0.005	0.003	0.005	0.004
	(0.011)	(0.011)	(0.011)	(0.011)
High School	0.005	−0.014	−0.014	−0.014
	(0.016)	(0.019)	(0.017)	(0.017)
Associate's Degree	0.032	−0.078	0.007	0.006
	(0.021)	(0.064)	(0.022)	(0.022)
Bachelor's Degree	0.079***	−0.217	0.054*	0.054*
	(0.021)	(0.165)	(0.023)	(0.023)
Postgraduate Degree	0.114*	−0.479	0.083+	0.086+
	(0.045)	(0.330)	(0.048)	(0.047)
Inverse Mills Ratio		0.870+		
		(0.479)		
Num.Obs.	4870	4870	4870	4870
R2	0.025	0.893	0.014	0.015
R2 Adj.	0.022	0.893	0.012	0.013
F	10.220		6.487	6.798
RMSE	0.37	0.37	0.37	0.37

+ $p < 0.1$, * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

All specifications use continuous monthly unemployment duration, UI receipt control, and demographic controls.

The unbalanced LM uses Displaced Worker Supplement sample weights only;

Heckman, EB, and GLM models apply additional reweighting as described in the text.

Highlighted row indicates the coefficient of interest.

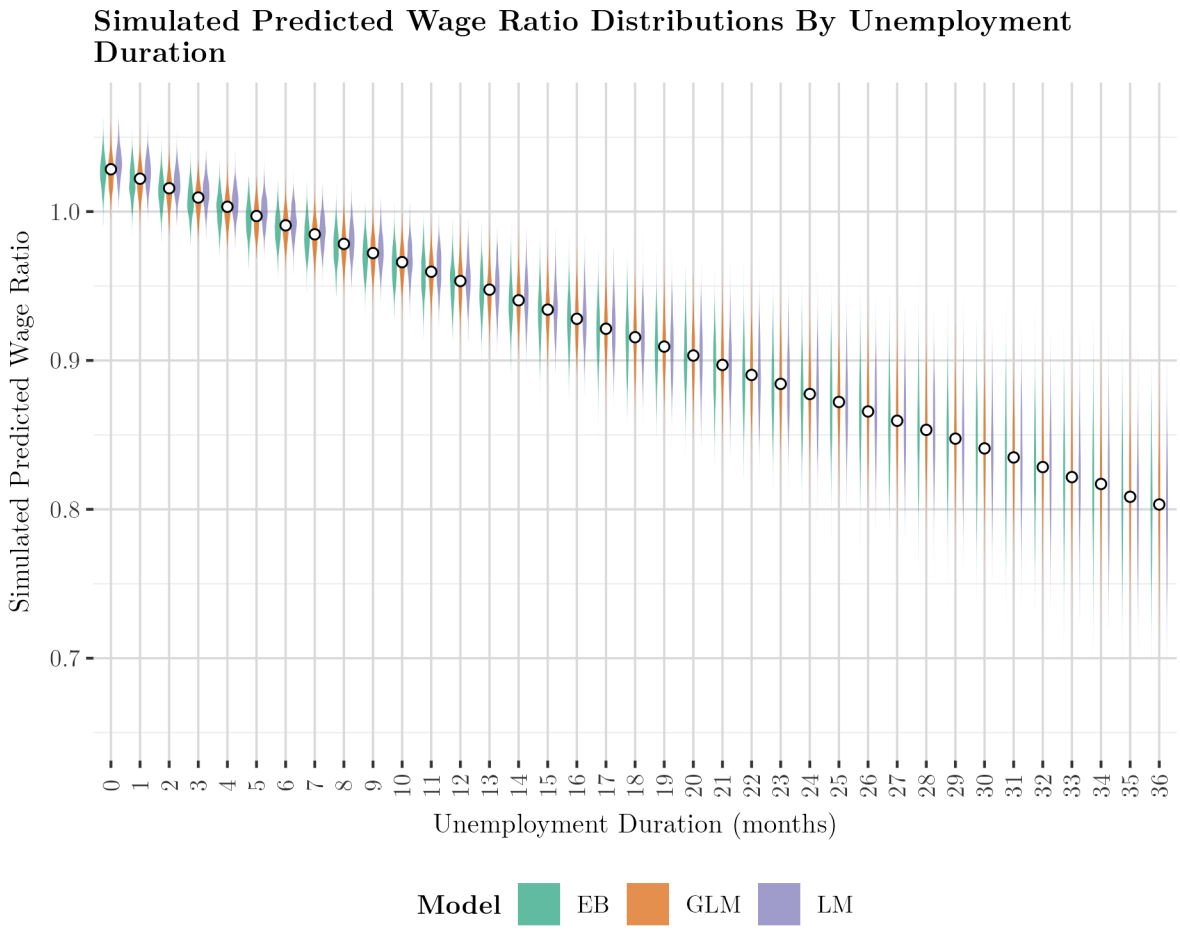


Figure 17: Simulated distributions of the predicted accepted wage ratio at each month of unemployment duration, derived from 1,000 draws per duration value from normal distributions parameterized by the mean prediction and standard error of the OLS, GLM-reweighted, and entropy-balanced models. White dots indicate the mean simulated value. These distributions parameterize the stochastic reservation wage adjustment mechanism in the agent-based model, with agents drawing an accepted wage ratio at each unemployment duration.

Additional Considerations

Job Tenure

We additionally explore whether tenure at the lost job affects the accepted re-employment wage ratio. The left panel of the figure below shows the weighted distribution of tenure at the lost job in years; the right panel plots the accepted hourly wage ratio against tenure, with a weighted linear fit. We find a slight negative relationship between tenure and the accepted re-employment wage ratio, suggesting that longer-tenured displaced workers accept modestly larger wage losses upon re-employment, though the relationship is weak and we do not incorporate tenure as an additional dimension of reservation wage adjustment in the agent-based model or the underlying econometric estimation.

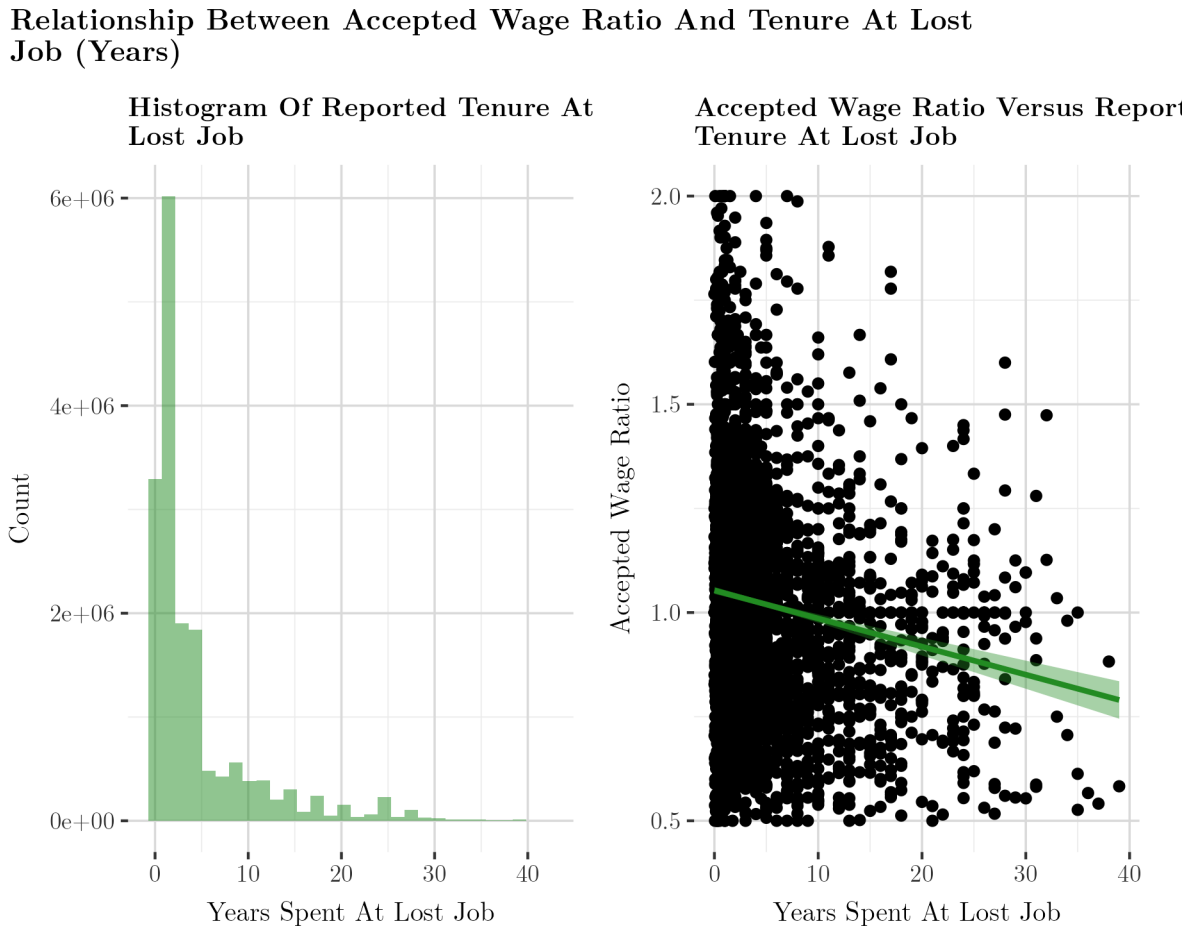


Figure 18: Weighted distribution of tenure at the lost job in years (left) and accepted hourly wage ratio as a function of tenure (right), for displaced workers in the clipped sample. The linear fit indicates a slight negative relationship between tenure and the accepted re-employment wage ratio. All observations are weighted by Displaced Worker Supplement sample weights.

Limitations

Finally, we acknowledge three potential limitations with this data basis for informing the behavioral rules in the agent-based model. First, we do not distinguish between workers in our agent-based model that are voluntarily or involuntarily separated from their jobs. Therefore, the displaced worker classification outlined above does not represent individuals unemployed voluntarily. Second, the reported 'current wage' is not

necessarily the realized wage post-re-employment. Individuals report the wage at their lost job, the amount of time unemployed until they were re-employed, and the wage they hold at their current job. However, it is not indicated whether the current job is the same job where they were first re-employed after displacement. As such, there is uncertainty in the measurement of this outcome as an accepted wage that is relatively low compared to an individual's previous wage might be a temporary reality rather than a true re-employment wage (i.e., an individual finding stop-gap employment). Additionally, an individual might currently hold a wage higher than their initial re-employment wage if they have since made any additional work transitions. Third, the outcome variable does not adequately handle fundamentally different wage scales (i.e., a 10% wage increase would likely be more or less impactful on the worker, depending on their initial wage level). We control for wage levels in several specifications to address this concern though this has minimal impact on our results.